

	[CAM No : CAM591307220013 (Kanpur Lucknow Expressway Pvt. Ltd.)]
Submitted to SMC LC for Approval	

Recommended By					
Stage Name	User Name	Completion Date and Time	Designation	Decision	Comments
Proposal Preparation	Prashant Shaurya	13/07/2022 13:55:11	Credit Analyst(Coverage)	Approved	
Proposal Review By RM	Arjun Vig	13/07/2022 14:01:26	Relationship Manager	Approved	
Rating Review by Risk Allocator	Meghana Misra	13/07/2022 18:26:08	Risk Group Head	Approved	Forwarding
Proposal Review by Head (Coverage Segment)	Sharad Gupta	14/07/2022 11:09:35	Regional Coverage Head/SRM	Approved	
Proposal Review By Group Head Syndication	Anup Agarwal	15/07/2022 13:29:31	Group Head Syndication	Approved	Recommended for approval.
Proposal Review by Sector Head (LCC)	Mukesh Monga	15/07/2022 13:56:33	Credit Specialist	Rework	PI rework in view of 18% gst
Proposal Preparation	Prashant Shaurya	21/07/2022 11:11:21	Credit Analyst(Coverage)	Approved	
Proposal review by Group Head (Coverage)	Sharad Gupta	21/07/2022 11:15:34	Regional Coverage Head/SRM	Approved	
Proposal Review by Head (Coverage Segment)	Parag Thally	21/07/2022 17:24:55	Head(Coverage Segment)	Approved	
Rating Review by Risk Analyst	Kunal Desai	22/07/2022 11:23:26	Risk Analyst	Approved	Rating assigned at AB-PR-A-. Rationale attached as annexure
Rating Review by Risk Group Head	MITESH THAKKAR	22/07/2022 12:47:48	Risk Group Head	Approved	Rating assigned at AB-PR-A-. Rationale attached as annexure
Proposal Review by Sector Head (LCC)	Mukesh Monga	24/07/2022 16:28:14	Credit Specialist	Approved	1. STL/Mob BG to be down sold also on pro rata. 2. TL corresponding to change in law portion of GST (around 42 cr to be disbursed after approval of Change in Law from NHAI).
Proposal Review by Group Head (LCC)	Prashant Murkute	29/07/2022 11:44:43	Credit Head Infra/Non Infra/FIG/GH LC-Credit	Approved	Given that we would be having 5 under construction HAMs in the group, let us be slow in picking up new under-construction HAMs in this group for some time.
Minutes of Meeting	Prasad Patankar	29/07/2022 12:28:13	MOM	Rework	As requested, sending CAM back for rework
Proposal Preparation	Prashant Shaurya	02/08/2022 14:02:20	Credit Analyst(Coverage)	Approved	
Proposal review by Group Head (Coverage)	Sharad Gupta	03/08/2022 11:07:44	Regional Coverage Head/SRM	Approved	
Proposal Review by Head (Coverage Segment)	Parag Thally	09/08/2022 18:44:29	Head(Coverage Segment)	Approved	
Proposal Review by Sector Head (LCC)	Mukesh Monga	11/08/2022 16:33:32	Credit Specialist	Approved	
Proposal Review by Group Head (LCC)	Prashant Murkute	17/08/2022 10:54:24	Credit Head Infra/Non Infra/FIG/GH LC-Credit	Approved	
Minutes of Meeting	Prasad Patankar	18/08/2022 12:21:38	MOM	Approved	
Proposal Review By Head Syndication	Viplove Chaturvedi	30/09/2022 11:56:02	Head Syndication	Approved	Approved
Approved proposal to RM/Credit Analyst (Coverage)	Arjun Vig	19/07/2023 11:38:17	Relationship Manager	Approved	
Sanction Released	Shailendra Kumar	24/07/2023 09:58:43	Head Credit Admin	Approved	
CDO/CAM Assignment	Hunnie Narang	26/07/2023 15:53:36	CAM	Approved	ok

Approved By					
Stage Name	User Name	Completion Date and Time	Designation	Decision	Comments
SMC LC Committee	Prashant Joshi	19-08-2022 09:24:41	CCO	Approved	
SMC LC Committee	Prashant Murkute	19-08-2022 16:51:49	Credit Head Infra/Non Infra/FIG/GH LC-Credit	Approved	
SMC LC Committee	Rajiv Anand	24-08-2022 18:35:09	DMD	Approved	

Minutes Of Meeting	
Date of Sanction	28-07-2022

Minutes
CAM received on 17.8.22. Minutes The details of Projects were presented. The DSCRs were found to be satisfactory. Risk Team pointed out that D:E is 82:18 against normally accepted 80:20. Further it was noted that there is termination shortfall of 16% and 22% after COD. Committee was of the view that we should have CG for Shortfall in Termination Payment. Coverage Team told that this was negotiated with Company but Company is not agreeable for CG. They have provided Shortfall underwriting for mitigating the risk. Underwriting team highlighted that one Project Kanpur Lucknow is relatively a complex project with 11 km elevated structure however given PNC's execution track record, it is likely to be completed. The point of upfront equity of 25% for BG/STL and 50% for RTL was discussed. Considering TP shortfall risk, Committee approved the proposal with lower hold of 375 cr (both Projects together) against proposed total hold of 500 cr. Syndication team also gave their concurrence. Risk comments Rating has been confirmed at AB-PR-A-. Internal guardrails in relation to single borrower and industry have been complied. Co. is a newly formed SPV by PNC Infra [AB-AA, CARE AA] for execution of package 1 of the expressway connecting Kanpur and Lucknow. PNC Infra has adequate cash accruals to fund the equity requirements across all its projects, and will be bringing 50% equity upfront. 30% of total land to be acquired is forest land, acquisition of the same is pending, and is the responsibility of NHAI.

Basic Client Details			
Client Name	Kanpur Lucknow Expressway Pvt. Ltd.	Date of last sanction/ renewal	
Group (if any)	PNC GROUP	Market Cap (date)	NA as Not Listed
Internal Rating	AB PR A- - (0) Processed	CMP (date)	NA as Not Listed

Asset Classification	Standard	52 week low/ High	NA as Not Listed
Date of incorporation		Connected lending (Y/N)	No
Dealing with us since	01-07-2022	Banking Arrangement	C-Consortium Our share of 33.74%
Other Comments			

External Rating					
Instrument	Agency	Rating	Date [date of the rating]	Previous Rating	Amount (Rs. crore)
Long Term	CARE	YET TO BE RATED			0
Short Term	CARE	YET TO BE RATED			0

Present request

- Sanction of RTL of Rs. 779.75Cr with hold position of upto Rs. 250.00Cr to Part Fund the execution of Project for “Construction of Six Lane Upgradable To Eight Lane of Kanpur Lucknow Expressway incl. Spur from Km 10+980 to Km 28+500 in Uttar Pradesh on Hybrid Annuity Model under Bharatmala Pariyojana (Package-I)
- Sanction of Bank Guarantee Limit (sub limit of RTL) of Rs. 155.43Cr for the purpose of Mobilization Advance.
- Sanction of Short Term Loan (Sub Limit of RTL) of Rs. 155.43Cr (max. Tenor of 24 months) to be availed in lieu of Mobilization Advance BG.

Other Issues:

- Approval for accepting the term sheet (Annexure IX) vetted by Underwriting Team in view of structured nature of the proposed transaction.
- Appointment of Independent agencies viz. LIE, LIA, LLC, Trustee etc. as per previous sanctioned and documented project. (LLC- orbit law, LIA- India Insure, LIE- FP, Trustee- Axis Trustee)
- Approval of Internal Rating of AB PR A-

Minutes of IP Forum Meeting Dt-13.05.2022

The Committee noted that D:E is 82:18 as against generally seen D:E of 80:20. There is Termination Payment (TP) shortfall ranging from 13% to 20% after COD. There is forest land of 30% in one project, approvals for which will be PDC. Committee considering HAM nature of projects, good track record of PNC and acceptable DSCRs approved the proposals with hold of 250cr each. It asked to discuss with Company, CG for TP shortfall.

It also advised that considering we will have exposure in 5 under-construction projects of group, no more under construction Projects of PNC to be considered till any of existing projects achieve PCOD.

Note: (Deviation from IP forum discussion)

- Vide IP forum meeting Dt-13.05.2022, In-Principle Approval has been accorded by our Bank for underwriting position of Rs. 737.39Cr with a final hold position of upto Rs. 250.00Cr. The change in proposed amount of debt is mainly on account of increase in applicable GST from 12% to 18%; IDC amount & amount of Interest till first annuity on account of upward revision in ROI along with minor reduction in the amount of Pre-op & other costs, in the base case assumptions.
- IP forum vide its meeting dt-13.05.2022 has advised to explore possibility of Corporate Guarantee of PNC Infratech Ltd. to cover the Termination Shortfall. We have accordingly taken up the matter with the company. However, the company has expressed its inability to provide CG for the Termination shortfall and they have instead proposed to submit a Shortfall undertaking from the Sponsor to make good the amount of termination shortfall, if any.**
- Market Flex:** All the Terms including but not limited to security, debt equity to be similar for all recently won 7 under-construction projects. Any additional/favorable terms offered for any of the 7 projects will also be applicable to this Facility. **This shall be finalized by Syndication Team as per their requirement and will form a part of the Mandate Letter only. This shall be communicated as a part of the Main Sanction Letter.**

Credit Facility

(Rs. crore)											
Particulars	Description	Existing Limit	Outstanding Amount (as on 13-07-2022)	Proposed Limit	Minimum Pricing	ESG Complied	ESG Sanction Amount	Invit Account	Takeover Type	Takeover from Bank	Other Bank/NBFC
Short Term Loan (STL) (Sub Limit of Term Loan-Project Finance)	sub limit of TL		0	155.43	1yr MCLR						
Bank Gurantee (BG) (Sub Limit of Term Loan-Project Finance)	Mobilization Advance BG		0	155.43	0.40% p.a. payable quarterly upfront						
Term Loan-Project Finance	For HAM Project		0	741.00	Till receipt of 1st Annuity: 1yr MCLR+0.15% / Post Receipt of 1st Annuity: 1yr MCLR						
Total TL (B)			0	741.00			0				
Total (A+B+C)			0	741.00			0				
Total (A+B+C+D)			0	741.00			0				

Noted Exposures

Nil

Facility Terms

S.No.	Type of Facility	Tenor	Security	Margin (%)
1	Rupee Term Loan	Door-to-door tenor of 16 years 6 months starting from the date of Appointed Date, comprising 2.50 years of construction period, 13.5 years of repayment, starting from	Primary: a.a first mortgage and charge on all the Borrower's immovable properties, both present and future, save and except the Project Assets;	As per project terms

6 months and 15 days from PCOD/COD

- b. a first charge on all the Borrower's tangible moveable assets, including moveable plant and machinery, machinery spares, tools and accessories, furniture, fixtures, vehicles and all other movable assets, both present and future save and except the Project Assets;
- c. a first charge over all accounts of the Borrower including the Escrow Account and the Sub-Accounts (or any account in substitution thereof) that may be opened in accordance with this Agreement and the Supplementary Escrow Agreement, or any of the other Project Documents and all funds from time to time deposited therein, the Receivables and all Authorized Investments or other securities, provided that:

- The same being applied to the extent of waterfall of priority of payment as specified in the Concession Agreement and the Escrow Agreement and not beyond that;
- the charge over the Receivables shall be enforceable by the Lenders or on their behalf only for the purpose of ensuring that the Receivables are credited to the Escrow Account for the purpose of being applied to the extent of waterfall of priority of payment as specified in the Concession Agreement and the Escrow Agreement and not beyond that

d. a first charge on all intangibles assets including but not limited to goodwill, rights, undertaking and uncalled capital present and future excluding the Project Assets (provided that all amounts received on account of any of these shall be deposited in the Escrow Account that the charges on the same shall be subject to the extent permissible as per the priority specified in the Concession Agreement and the Escrow Agreement). Further, a charge on uncalled capital, as set in above, shall be subject to the Concession Agreement;

e. Assignment by the way of Security in:

- all the right, title, interest, benefits, claims and demands whatsoever of the Borrower in Project Documents;
- the right, title and interest of the Borrower in, to and under all the Government Approvals;
- all the right, title, interest, benefits, claims and demands whatsoever of the Borrower in any letter of credit, guarantee including contractor guarantees and liquidated damages and performance bond provided by any party to the Project Documents;
- all the right, title, interest, benefits, claims and demands whatsoever of the Borrower under all Insurance Contacts;

Provided that the charge on assignment mentioned in paragraph (e) above shall be enforceable:

- in the manner specified in the Substitution Agreement so as to enable the Nominated Company (as defined under the Concession Agreement) to substitute the Borrower in respect thereof as per the Substitution Agreement;
- only for the purpose of ensuring that the amounts received thereupon are credited to the Escrow Account for the purpose of being applied in the order of priority specified in the Concession Agreement and the Escrow Agreement and not beyond that.

f. a pledge of 51% of the issued, paid up and voting equity share capital of the Borrower held by the Promoter in the Borrower till the Final Settlement Date. Provided that any enforcement of the pledge over shares shall be subject to the Concession Agreement and the prior written Approval of NHA1 as provided therein.

The shares pledged to the Lenders shall be free from any restrictive covenants/ lien or other encumbrance under any contract / arrangement including shareholder agreement / joint venture agreement / transfer of the shares etc. The pledge shall be subject to Sec 19(2) of Banking Regulation Act (pledge to be restricted to 30% and Non Disposal and Non encumbrance Undertaking) to be obtained for 21% in case of single lender) during the tenure of the Facility. At no point, the proportionate share of any one lender shall be more than 30%.

Provided that:

- the aforesaid mortgages, charges, assignments, guarantees and the pledge of equity shares shall in all respects rank pari-passu inter-se amongst the Lenders, in accordance with the Concession Agreement, without any preference to one over the other or others; and
- the Security Interest stipulated in sub-paragraphs (a) to (f) hereinabove shall exclude the Project Assets (as defined in and in accordance with the Concession Agreement).

Any additional collateral security other than those mentioned herein above offered by Borrower to other lenders (in case of pari-passu charge) shall also

			be available to the Bank. The aforesaid charges shall rank pari-passu amongst the senior Lenders participating in the Project.	
2	Bank Guarantee	Maximum upto 3.5 years from appointed date	All Securities as applicable to RTL	As per project terms
3	Short Term Loan	Max. Tenor of 30 months	All Securities as applicable to RTL	As per project terms

Security Timeline and Disbursement Eligibility

NEG (Startup Company)	No		
Banking Arrangement	C-Consortium	Internal Rating	AB PR A-
Questionnaire	New to the bank where existing security is not fully created for the existing lenders		
	Eligibility	Proposed	Remarks
Disbursement	100%	100%	Security creation and perfection shall be completed upfront prior to first disbursement including Escrow & Substitution Agreement.
Security Timeline	upto 120 days	upfront	Security creation and perfection shall be completed upfront prior to first disbursement including Escrow & Substitution Agreement.

Comments

	Eligibility	Proposed	Remarks
Disbursement	100%	Upfront	Security creation and perfection shall be completed upfront prior to first disbursement including Escrow & Substitution Agreement.
Security timeline	Upto 120 days		

Comments

Yet to be created

RAROC

RAROC of the Company

Actual for PY : 2022		Actuals for latest quarter		Estimated for current FY		Projected for following FY	
Credit (%)	Relationship (%)	Credit (%)	Relationship (%)	Credit (%)	Relationship (%)	Credit (%)	Relationship (%)
-	-	-	-	10	12	10	12

Relationship RAROC of the Group

Actual for PY(%) : 2022	Actuals for latest quarter (%)
10.80%	12.24%

RAROC Comments

Comments

Brief About Kanpur Lucknow Expressway Pvt. Ltd.

- PNC Infratech Ltd. (PNCIL) has been awarded the contract for construction of Six Lane Upgradable To Eight Lane of Kanpur Lucknow Expressway incl. Spur from Km 10+980 to Km 28+500 in Uttar Pradesh on Hybrid Annuity Model under Bharatmala Pariyojana (Package-I).
- Kanpur Lucknow Expressway Pvt. Ltd. (KLEPL) has been incorporated on 11.04.2022 by PNCIL as a SPV for execution of this project. Project Site starts from 10.980km in Lucknow to 28.500 km in Hinora Village of Unnao district NH-25 (New NH-27) in the state of Uttar Pradesh.
- The Total Cost of the Project is Rs. 1617.84Cr, which is proposed to be funded by NHAI Grant of Rs. 666.94Cr, Equity of Rs. 171.16Cr and Term Loan of Rs. 779.75Cr.
- Concession Agreement has been executed on 12.05.2022.
- The details of Bidders is as mentioned below:

₹ in Cr				
Bidder Name	Ranking	Bid Price	BPC*	1st Year O&M
PNC Infratech Ltd	L1	1288.41	1413.00	3.00
APCO Infratech Pvt. Ltd.	L2	1437.98	1505.00	10.00
Shankarnarayana Constructions Pvt. Ltd.	L3	1478.93	1637.57	2.00
GR Infraprojects Ltd.	L4	1535.03	1682.00	3.71
Megha Engineering & Infrastructure Ltd.	L5	1560.78	1729.40	2.00

*Excluding applicable GST @18%.

The company has explained that majority of their projects are located in the state of Uttar Pradesh and due to this they incur lower cost on site mobilization. Due to this reason, they have been able to quote lower bids as compared to the other bidders.

PNC Infraholdings Ltd.

PNC Infraholdings Limited (PNCIHL) is a 100% subsidiary of PNC Infratech Limited. PNCIHL is the investment vehicle for BOT/HAM assets of the Group. PNC Infratech Limited infuses equity in SPV companies through PNCIHL.

PNC Infratech Limited (Sponsor): Rated CARE AA / A1+ (Dt-07.12.2021)

PNC Infratech Limited has been incorporated on 9th August 1999 as PNC Construction Company Private Limited. The Company was converted into a limited company in 2001 and was renamed PNC Infratech Limited in 2007.

The Company is engaged in infrastructure development through the construction of highways including on BOT (built, operate and transfer) basis, airport runways, bridges, flyovers and power transmission projects, among others.

The Company provides end-to-end Engineering, Procurement and Construction services on turnkey and item rate basis. The Company also implements projects on various PPP (Public-Private-Partnership) formats including DBFOT (Design-Build-Finance-Operate-Transfer), OMT (Operate-Maintain-Transfer) and Hybrid models.

The company bids as a sponsor either alone or in the joint venture with other venturer and once the project is awarded then it is executed by incorporating a company (special purpose vehicle).

The Company's registered office is located in New Delhi, corporate office in Agra and operations are spread across Haryana, Karnataka, Madhya Pradesh, Maharashtra, Punjab, Rajasthan, Tamil Nadu, Uttar Pradesh, Uttarakhand, Assam, West Bengal and Bihar among others.

The Company is ISO 9001:2008-certified, awarded 'SS' (Super Special) class from the Military Engineering Services as well as appreciation from NHAI.

Key Clientele: The Company has handled construction work for reputed clients like National Highways Authority of India, Airports Authority of India, Military Engineering Services, RITES Limited, State Highways Authority, Uttar Pradesh Expressways Industrial Development Authority, Uttar Pradesh Power Corporation Limited, Public Works Department, Dedicated Freight Corridor Corporation of India Limited, etc.

Project Status of PNC Group:

As on 31.03.22, the company has a net order book position (remaining value of contracts under execution) of Rs. 14663Cr (2.28x of FY22 revenue) which provides satisfactory revenue visibility for the next FY. Apart from the same, the company has recently been awarded 7 new HAM projects having total BPC of 8446Cr from NHAI. The total orderbook including these recently awarded HAM projects is Rs. 21000Cr (incl. EPC value of 7 new HAMs) which is 3.33x of FY22 revenue. Road EPC constitutes ~44% of orderbook.

Present Status of Existing HAM projects of the Group:

Details of the Company's HAM projects under construction/Commissioned has been provided below:-

Status as on 31-12-2021

S. No	Project Name	Authority	TPC	Status	Invested Equity	PNC Share	Total Debt	Debt as on 31.12.21
1	Dausa-Lalsot, Rajasthan	NHAI	820	COD	65	65	371	319
2	Chitradurga Devanagere	NHAI	1338	PCOD	107	107	606	566
3	Jhansi-Khajuraho (PK I)	NHAI	1342	PCOD	108	108	604	565
4	Jhansi-Khajuraho (PK II)	NHAI	1262	PCOD	104	104	590	552
5	Chakeri - Allahabad	NHAI	2018	UC	143	143	873	610
6	Aligarh - Kanpur	NHAI	1104	COD	131	131	500	499
7	Challakere - Hariyur	NHAI	1013.	UC	8	8	440	0
8	Jagdishpur-Faizabad	NHAI	1311	UC	10	10	559	0
9	Mitrasen to Kanpur	NHAI	1790	UC	53	53	775	0
10	Unnao-Lalgaon	NHAI	1491	UC	10	10	631	0
11	Meerut Nazibabad	NHAI	1256	UC	10	10	514	0
Total			14745		749	749	6463	3111

The Company has recently been awarded 7 new HAM projects. Details of the same are as under:

SN	Project	Authority	State/Stretch	Km / Lanes	BPC	O&M	Bid Price
1	Kanpur Lucknow Expressway Pkg 1	NHAI	UP / NH27	17.520/6 lane upgradable to 8 lane	1413	3.00	1288.41
2	Kanpur Lucknow Expressway Pkg 2	NHAI	UP / NH27	45.24/6 lane upgradable to 8 lane	1513	3.00	1377.55
3	End of Hardoi Bypass to End of Hardoi District	NHAI	UP / NH731	54.43/Upgradation Of Existing Road to 4-lane	864	3.00	800.67
4	Sonauli - Gorakhpur section of NH 29E	NHAI	UP / NH29E	79.54/4	1458	6.00	1382.48
5	Mathura to Gajju Village	NHAI	UP / NH530B	32.98/4	885	3.00	832.83
6	Gajju Village to Devinagar Bypass	NHAI	UP / NH530B	33.02/ 4	738	3.00	699.42
7	Akkalkot Karnataka TS Border Pkg 2	NHAI	Karnataka / NH150C	71.00 / 6	1575	3.60	1437.72
Total					8446	24.6	7819.08

The Company has approached our Bank for funding of projects at Sr. No. 1 & 2.

The Company has estimated the total Equity Requirement over the next 2-3 years to be approximately Rs. 1476Cr for all projects. PNC expects that its estimated cash flow would be sufficient to meet its equity commitments for the projects undertaken without any difficulty.

Particulars (Rs. in Cr)	Total Equity Requirement	31.03.22	31.03.23	31.03.24
		(A)	(P)	(E)
Revenue			7500.00	8600.00
Profit After Tax (PAT)			450.00	516.00
Depreciation			150.00	150.00
Gross Cash Accruals (PAT + Depreciation)			600.00	666.00
Available Long Term Fund Mar'22			786.00	840.54
Equity Infusion			445.46	499.56
Capex			100.00	100.00
Total Cash available			840.54	906.98
Total Equity Requirement in HAM	2390.68	914.66		
Total Equity requirement as on March'22		1476.02		

Comments

Management Profile of Kanpur Lucknow Expressway Pvt. Ltd.

KLEPL is a wholly owned Step Down Subsidiary of PNC Infratech Limited with Mr. Devendra Kumar Maheshawari & Mr. Pankaj Kr. Agarwal as Directors of the Company. Details of Directors of the Company are as under:

Name	Designation	DIN	Other Directorship
Devendra Kumar Maheshawari	Director	03499179	PNC Triveni Sangam Highways Pvt. Ltd., Awadh Expressway Pvt. Ltd., Sonauli Gorakhpur Highways Pvt. Ltd., Akkalkot Highways Pvt. Ltd., Hathras Highways Pvt. Ltd., PNC Meerut Haridwar Highways Pvt. Ltd., Hardoi Highways Pvt. Ltd., Yamuna Highways Pvt. Ltd., PNC Chitradurga Highways Pvt. Ltd.

Pankaj Kumar Agarwal	Director	05168566	MP Highways Pvt. Ltd., PNC Bithur Kanpur Highways Pvt. Ltd., PNC Rajasthan Highways Pvt. Ltd., Awadh Expressway Pvt. Ltd., Sonauli Gorakhpur Highways Pvt. Ltd., Ferrovia Transrail Solutions Pvt. Ltd., Hardoi Highways Pvt. Ltd. PNC Raebareli Highways Pvt. Ltd., PNC Kanpur Ayodhya Tollways Pvt. Ltd.
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Management of PNC Infratech Ltd (Sponsor):

PNC Infratech Ltd. (PNC) is a public limited company, with promoter and associate holdings of 56.07% as on 31.3.2020 (detailed shareholding captured in Annexure I). The company is managed by a board comprising 10 members including 3 promoter directors, 2 whole time director and 5 independent directors.

Mr. Pradeep Kumar Jain is the Chairman and Managing Director of the company. He has been instrumental in driving the company's growth since inception. He looks after the overall management and operations and implementation of the company's projects.

The other promoter directors Mr. Chakresh Kumar Jain and Mr. Yogesh Kumar Jain, have significant experience in various business aspects including material management, site administration and project execution, etc. The board is assisted by a team of professionals in the areas of finance, engineering and law.

The details of the Board of Directors are given below:

Sr.	Name	DIN No.	Designation
1	Mr. Pradeep Kumar Jain	00086653	Chairman & Managing Director
2	Mr. Chakresh Kumar Jain	00086768	Managing Director
3	Mr. Yogesh Kumar Jain	00086811	Managing Director
4	Mr. Anil Kumar Rao	01224525	Whole Time Director
5	Mr. Talluri Raghupati Rao	01207205	Whole Time Director
6	Mr. Subhash Chander Kalia	00075644	Director (Independent)
7	Mr. Ashok Kumar Gupta	02808356	Director (Independent)
8	Mrs. Deepika Mittal	06966373	Director (Independent)
9	Mr. Gauri Shankar	06764026	Director (Independent)
10	Mr. Krishan Kumar Jalan	01767702	Director (Independent)

One of the brothers of promoters, Mr. Naveen Kumar Jain is politically connected to Bharatiya Janata Party and is Mayor of Agra.

The management position of KLEPL and PNCIL may be considered satisfactory.

Business Operations

Kanpur Lucknow Expressway Pvt. Ltd. (KLEPL) has been incorporated on 11.04.2022 by PNCIL as a SPV for execution of this project. **Project Site starts from 10.980km in Lucknow to 28.500 km in Hinora Village of Unnao district NH-25 (New NH-27) in the state of Uttar Pradesh.**

Brief about the project is as under:

Name of Project	Construction (Design, Build, Operate and Transfer) of Six Lane Upgradable To Eight Lane of Kanpur Lucknow Expressway incl. Spur from Km 10+980 to Km 28+500 in Uttar Pradesh on Hybrid Annuity Model under Bharatmala Pariyojana (Package-I)
SPV executing the Project	Kanpur Lucknow Expressway Pvt. Ltd.
Length of the Project	17.52 Km
No. of Lanes	6
Total Lane Kms	105.12 Km
L1 L2 L3	L1-PNC Infratech Ltd. L2- APCO Infratech Pvt. Ltd. L3- Shankarnarayana Constructions Pvt. Ltd.
LOA Date	15-03-2022
Concession Agreement Date	12.05.2022
Financial Closure Date	To be completed within 150 days from CA signing date
Estimated Project Cost (NHA)	Rs. 1530.44Cr
Bid Project Cost (Excl. GST) and O&M (excl. GST)	BPC Rs. 1413.00Cr and 1 st Year O&M is Rs. 3.00Cr
BPC (including GST)	Rs. 1667.34Cr
BPC (incl. GST) / TPC	103.06%
Bid Price (NPV)	Rs. 1288.41Cr
Total Project Cost	Rs. 1617.84Cr
EPC Cost (out of Project Cost)	Rs. 1508.04Cr
Debt	Rs. 779.75Cr
Equity	Rs. 171.16Cr
Equity as a % of TPC	10.49%
D/E Ratio	4.56x
Construction Support from NHA (without Inflation)	Rs. 666.94Cr (40% of BPC + GST)
Termination Payment (65% of Annuity)	Rs. 610.22Cr
Max. Termination Shortfall Post COD	Rs. 177.32Cr
Present Status of Project	Concession Agreement signed on 12.05.2022
Appointed Date	150 days from CA signing Date
Construction Period	910 days from Appointed Date
Construction End Date (SCOD)	910 days from Appointed Date
Moratorium	6 month 15 days
Annuity Start Date	180 days from COD
Repayment Start Date	195 days from SCOD
Repayment	27 Semi Annual instalments
Concession Period	15 years from COD
Concession End Date	15 years from COD
Tail	~18 months (3 annuities)

Cost of Project & Means of Finance:

Particulars	Amount
EPC Cost	1508.04
Interest During Construction	62.75
Pre-Operative & Other costs*	13.70
Interest from COD till 1 st Annuity	33.35
Total Cost of Project	1617.84
NHA Grant (40% of BPC + GST)	666.94
Promoters' Contribution	171.16
Term Debt	779.75

*incl. IE Fee: Rs. 4.17Cr

Key Dates:

LOA has been received, CA is signed, while remaining dates are tentative dates.

Project Structures:

Other Parameters:

*O&M for the first 5 years will be in the scope of the EPC cost and hence part of TPC.

Output Parameters

As per CA, company shall receive grant from NHAI as per the following schedule:

Transaction Structure:

- IP forum vide its meeting dt-13.05.2022 has advised to explore possibility of Corporate Guarantee of PNC Infratech Ltd. to cover the Termination Shortfall. We have accordingly taken up the matter with the company. However, the company has expressed its inability to provide CG for the Termination shortfall and they have instead proposed to submit a Shortfall undertaking from the Sponsor to make good the amount of termination shortfall, if any.

P & L Comment

Financial Profile of Kanpur Lucknow Expressway Pvt. Ltd. (Borrower)

The Company is a SPV incorporated for implementation and operation of a Road Project under Hybrid Annuity Model. Considering that the project is under implementation, the details of the project are furnished in Term Loan assessment section in Annexure.

Projected P&L Statement:

[illegible]

TPC Annuity	19.49	40.94	43.54	46.14	49.01	51.99	55.23	58.58	62.20	66.00	70.00
Inflation	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
O&M	1.74	3.59	3.73	3.88	4.04	4.20	4.37	4.54	4.72	4.91	5.10
Interest on Annuity	41.54	80.44	76.72	72.76	68.57	64.12	59.39	54.37	49.05	43.40	37.90
Total	62.78	124.97	123.99	122.78	121.62	120.30	118.99	117.49	115.97	114.32	112.00
Operating Expenses											
Routine Maintenance Exp.	0.00	0.00	0.00	0.00	0.00	1.63	1.74	1.82	1.91	2.01	2.10
Other O&M	1.41	3.28	3.38	3.49	3.61	3.73	3.86	3.99	4.14	4.29	4.44
MMR Provisioning	0.00	5.79	5.79	5.79	5.79	5.79	5.79	0.00	8.14	8.14	8.14
Total	1.41	9.06	9.17	9.28	9.39	11.15	11.38	5.81	14.19	14.44	14.68
EBITDA	61.37	115.90	114.82	113.50	112.23	109.16	107.61	111.68	101.78	99.88	97.90
EBITDA %	97.76%	92.75%	92.61%	92.44%	92.28%	90.74%	90.44%	95.05%	87.76%	87.37%	86.00%
Interest	61.32	59.24	55.01	50.12	44.95	39.53	34.48	29.53	24.72	19.80	15.00
Depreciation & Amortization	28.60	26.89	56.45	55.90	55.37	54.73	54.13	53.45	52.76	52.01	51.26
PBT	-28.55	29.77	3.36	7.48	11.91	14.90	19.00	28.70	24.30	28.07	33.64
Less: CSR	0.00	0.00	0.00	0.09	0.17	0.23	0.30	0.41	0.47	0.53	0.59
Tax	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
PAT	-28.55	29.77	3.36	7.39	11.74	14.67	18.70	28.29	23.83	27.54	33.05

Projected Balance Sheet

FYE	31.03.26	31.03.27	31.03.28	31.03.29	31.03.30	31.03.31	31.03.32	31.03.33	31.03.34	31.03.35	31.03.36	31.03.37	31.03.38	31.03.39	31.03.40	31.03.41
Liabilities																
Paid Up Capital	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58
Reserves & Surplus	-28.55	-28.78	-25.42	-18.00	-6.24	8.42	27.12	55.40	79.22	106.75	138.28	164.24	181.38	199.73	224.48	240.77
USL from Promoters	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58	85.58
Total Equity	142.61	142.38	145.74	153.16	164.92	179.58	198.28	226.56	250.38	277.91	309.44	335.40	352.54	370.89	395.64	411.93
Long Term Debt	729.06	670.58	608.20	542.70	474.09	413.27	350.89	291.62	229.25	162.97	104.49	51.46	0.00	0.00	0.00	0.00
MMR Provision	0.00	5.79	11.58	17.36	23.15	28.94	0.50	0.00	8.14	16.29	24.43	32.58	40.72	0.70	0.00	0.00
Total Long Term Liabilities	729.06	676.37	619.78	560.07	497.24	442.20	351.38	291.62	237.39	179.25	128.92	84.04	40.72	0.70	0.00	0.00
CMLTD	38.99	58.48	62.38	65.50	68.62	60.82	62.38	59.26	62.38	66.28	58.48	53.02	51.46			
Total	910.66	877.23	827.90	778.72	730.77	682.60	612.04	577.44	550.15	523.45	496.84	472.46	444.72	371.59	395.64	411.93
Assets																
Project Asset Net Block	758.91	702.06	645.65	589.79	534.47	479.74	425.60	372.15	319.39	267.39	216.16	165.84	116.67	69.51	22.36	0.00
Preliminary Exp. Not W/off	0.17	0.13	0.09	0.04	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
DSRA Fund	25.82	56.75	56.25	55.22	54.07	47.65	45.95	41.99	41.09	40.43	34.10	29.19	25.86	0.00	0.00	0.00
MMR Fund	0.00	5.79	11.58	17.36	23.15	28.94	0.50	0.00	8.14	16.29	24.43	32.58	40.72	0.70	0.00	0.00
Working Capital Reserve	7.03	6.62	6.12	5.60	5.24	4.70	4.15	3.62	3.07	2.48	1.95	2.52	3.41	3.33	2.74	0.00
GST Credit	118.74	96.61	74.67	52.95	31.45	10.50	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
Cash & Bank Balance	0.00	9.29	33.55	57.75	82.39	111.08	135.83	159.69	178.46	196.86	220.20	242.34	258.07	298.06	370.55	411.94
Total	910.66	877.23	827.90	778.73	730.77	682.61	612.04	577.45	550.15	523.45	496.84	472.47	444.73	371.60	395.64	411.94

Avg. DSCR	
Min. DSCR	
Project IRR	
Equity IRR	

Sensitivity Analysis

Particulars
Base Case
ROI increase by 1% while Avg. MCLR of top 5 Banks remains same
Avg. MCLR of top 5 Banks decrease by 1% while ROI remains same
Increase on Routine Maintenance by Rs. 1.00Lacs per Lane km

Balance Sheet Comment

Financial Profile of PNC Infratech Limited (Sponsor): (Standalone)

(Rs. crore)

Particulars	FY18 (A)	FY19 (A)	FY20 (A)	FY21 (A)
Net sales	1856.58	3096.87	4877.93	4925.42
PBDIT	341.85	500.36	852.81	748.00
PBDIT / Net sales (%)	17.92%	15.86%	17.17%	14.95%
Other income	50.90	57.14	90.22	76.36
Interest	30.72	64.09	114.40	77.11
Depreciation	77.20	92.24	126.38	112.38
PBT	233.93	344.03	612.03	558.51
PAT	251.04	324.91	460.30	361.95
Cash profit	278.83	353.39	577.32	470.31
Interest coverage ratio	11.13	7.81	7.45	9.70
DSCR	5.90	3.97	3.37	3.04

Latest Results (Q4FY22)

Particulars	Q4FY21	Q4FY22	% change	12MFY21	12MFY22	% change
Sales	1644	1917	16.61%	4925	6306	28.04%
EBDITA	233	225	-3.43%	677	787	16.25%

EBDITA/ Net sales (%)	14.10%	11.70%	-17.02%	13.70%	12.50%	-8.76%
Other income	17	9	-47.06%	71	54	-23.94%
PAT	129	138	6.98%	362	448	23.76%
Cash accruals	30	32	6.67%	474	578	21.94%

Revenue

- The company has registered marginal growth in revenue during FY21 mainly on account of imposition of Lockdown by the central govt. w.e.f. March 2020 till the end of July/August. AS per Provisional F/s for FY22, the company's sales have grown by 28.04% during FY22
- As on 31.03.22, the company has a net order book position (remaining value of contracts under execution) of Rs. 14663Cr (2.28x of FY22 revenue) which provides satisfactory revenue visibility for the next FY. Apart from the same, the company has recently been awarded 7 new HAM projects having total BPC of 8446Cr from NHAI. The total orderbook including these recently awarded HAM projects is Rs. 21000Cr (incl. EPC value of 7 new HAMs) which is 3.33x of FY22 revenue. Road EPC constitutes ~44% of orderbook.
- EBITDA margin has declined from 13.70% during FY21 to 12.50% during FY22 mainly on account of rise in input costs.
- PAT of the company has grown 23.76% during FY22 mainly on account of rise in sales.

Rs. in Cr

Particulars	FY18	FY19	FY20	FY21
	Audited	Audited	Audited	Audited
TNW	1803.07	2113.65	2423.59	2883.72
Adj. TNW	1010.16	1120.98	1514.64	1818.68
Short Term Debt	0.00	0.00	0.00	0.00
Long Term Liabilities (including payable within 1 year)	339.58	752.90	979.82	830.68
Long Term Liabilities payable within 1 year	41.15	91.05	102.73	146.38
TOL/ TNW	0.54	0.76	0.77	0.68
TOL/ Adj. TNW	0.97	1.43	1.23	1.07
TTL/TNW	0.19	0.36	0.40	0.29
Current ratio	1.69	1.71	2.53	2.15

- The TNW of the company has been growing y-o-y on account of plough back of profits into the business, partially offset by issuance of dividend. The company has paid dividend of Rs. 12.82Cr against PAT of Rs. 447.83Cr during FY22. The TNW of the company has increased from Rs. 2883.72Cr as on 31.03.21 to Rs. 3323.25Cr as on 31.03.22 on account of plough back of profits into the business.
- Gearing as on 31.03.22 is 0.6x and Debt Equity Ratio is 0.26x

Investments and loans to group companies are captured below.

Name of the SPV	Name of the Project	31.03.19	31.03.20	31.03.21
Ghaziabad Aligarh Expressway Pvt Ltd^	Ghaziabad-Aligarh	29.32	29.32	29.32
PNC Bareilly Nainital Highways Pvt. Ltd.	Bareilly-Almora	5.00	5.00	5.00
PNC Infra Holding Ltd.	Various projects	538.09	*638.27	*711.56
Others (including non grp cos)		0.56	0.56	0.56
	Total	572.97	673.16	777.68

*Investment in PNC Infra Holding Ltd. has increased to meet Equity Requirements at SPV level for various HAM / Other Projects being executed by respective SPVs. **^PNC Infratech Ltd., along with its wholly owned subsidiary, PNC Infra Holdings Ltd. and other partners / promoters has entered into a Share Purchase Agreement on 01.04.2021 with Cube Highways & Infrastructure Pte. Ltd. The deal has now been concluded and total consideration has been received. The company has provided for total impairment of Rs. 129.72Cr on Standalone basis and 167.30Cr on Consolidated basis.**

Comments

Particulars (FY2022)	PNC Infratech Ltd.	NCC	GR Infra
Net sales	6305.50	9930.03	7919.18
Operating Profit Margin	13.35%	12.59%	17.81%
PAT	447.83	490.12	760.82
PAT Margin	7.10%	4.94%	9.61%

Status of Compliance to the conditions of putting up the proposal to Regional Credit Committee or Lower Committee for approval

Key ratios	Threshold	Projected	Comments
Avg. DSCR	Minimum of 1.10x	Avg. DSCR of 1.24x	satisfactory

Financial covenants and testing thereof

Sr.No	Type of Covenant	Party	Facility	Ratios	Stipulated parameter	Stipulated value	Frequency Type	Frequency of Testing	Start Date	End Date	Remarks	Covenant Tracking
1	Financial	Borrower	Term Loan-Project Finance	Debt/ Equity	Not exceed _ times	4.56	Periodic	Annually	31-03-2023	31-03-2040	to be tested at the time of First Audited results falling after date of disbursement	Yes
2	Financial	Borrower	Term Loan-Project Finance	Debt Service Coverage Ratio (DSCR)	Not below _ times	1.10	Periodic	Annually	31-03-2026	31-03-2040	to be tested from first full year of operations	Yes

Assessment of WC facility

Nil

Sanction of TL

Background:

- PNC Infratech Ltd. (PNCIL) has been awarded the contract for construction of Six Lane Upgradable To Eight Lane of Kanpur Lucknow Expressway incl. Spur from Km 10+980 to Km 28+500 in Uttar Pradesh on Hybrid Annuity Model under Bharatmala Pariyojana (Package-I).
- Kanpur Lucknow Expressway Pvt. Ltd. (KLEPL) has been incorporated on 11.04.2022 by PNCIL as a SPV for execution of this project. Project Site starts from 10.980km in Lucknow to 28.500 km in Hinora Village of Unnao district NH-25 (New NH-27) in the state of Uttar Pradesh.

a. Purpose of the loan:

To Part Fund the execution of Project for "Construction of Six Lane Upgradable To Eight Lane of Kanpur Lucknow Expressway incl. Spur from Km 10+980 to Km 28+500 in Uttar Pradesh on Hybrid Annuity Model under Bharatmala Pariyojana (Package-I).

- Brief about stretch:**

The proposed Project site shall be six lanes upgradeable to eight lanes with paved shoulder starting from Km 10.980 to Km 28.500, having a total length of 17.520 km and the main carriageway shall have flexible pavement except for rigid pavement at Toll Plaza. The proposed ROW varies from 33m to 61.6m. The Project stretch starts near Shaheed Path Junction in Lucknow on NH 27 and terminates near Bani river in Hinora Village of Unnao District. The section from Km 10.980 to Km 17.580 is a spur to the expressway, Km 17.580 to Km 28.100 is Access controlled 6 lane elevated Expressway with 4 lane underneath and from Km 28.100 to Km 28.500 is greenfield expressway. The stretch shall be designed for minimum design speed of 100 kmph for plain/rolling terrain from Km 10.980 to Km 28.100 and 120 kmph from Km 28.100 to Km 28.500.

- Project Scope:**

SN	Structure	Existing (Nos.)	Proposed (Nos.)
1	No. of major bridges	Nil	1 new major bridge @ Km 28.280 on Sai River on main carriageway
2	No. of minor bridges	1	1 minor – canal over bridge @ km 14.805 on main carriageway.
3	Interchanges	Nil	2 interchanges @ km 17.580 & km 24.500 with ramps
4	Grade Separators / Flyovers	Nil	3 flyovers having a total length of 11.275 km.
5	Underpasses (vehicular, non-vehicular)	Nil	1 new vehicular underpass at Interchange @ Km 17.580
6	Major junctions	4	Nil
7	Minor junctions	28	Nil
8	No. of Culverts	19	7 reconstruction of culverts, 7 widening of culverts, 5 culverts retained with minor repairs, 11 new culverts.
9	Bus bays and Bus shelters	2	2 bus bays and bus shelters
10	Toll plaza		None Proposed
11	Other project facilities	-	Pedestrian facilities, Street lighting, Traffic aid posts, Medical aid posts, Vehicle rescue posts, Telecom System, Operation and Maintenance centre, Roadside furniture, Landscaping and Tree plantation, Rest Areas, Highway patrol unit, Toll Management System, Ambulance, Cranes

- Land Acquisition (RoW and approval status):**

As per the Concession Agreement, the acquisition of land / Right of Way (ROW) shall be an obligation of the Authority i.e. NHAI. Prior to Appointed Date, the Authority shall ensure that at least 80% of the Right of Way (ROW) would be made available by NHAI free from all encumbrances Concessionaire shall be able to undertake construction activities on at least 80% of the Project length.

As per Information submitted by the Client, the present status of Land Acquisition is as under:

Total Land Required	87 Ha
Available Land	56.9661 Ha
Additional Land to be Acquired	30.0339 Ha
Govt. Land	16.1683 Ha
Pvt. Land	13.8656 Ha
3A	Completed (Nil Pending)
3D	Completed (Nil Pending)
3G	13.8656 Ha Completed (Nil Pending)
Awarded amount by CALA (Cr)	61.52
3G	No Pending
3H	44.73 Cr. Deposited
3H-	8.60 Cr. Disbursement

- Project Completion Schedule as per NHAI:**

Project Milestone	I	II	III	IV
Days from AD	180	360	750	910
NHAI milestones	20% physical progress and capital expenditure	35% physical progress and capital expenditure	75% physical progress and capital expenditure	Project completion to be achieved

- Pre-construction Activities and status of Various Approvals and Clearances:**

Sr. No.	Nature of Clearance	Status
1.	Environment Clearance	Not Applicable (As per notification dated 22 nd August 2013 issued by Ministry of Environment and Forests, if the length of Project Highway is less than 100 km, Environmental Clearance is not applicable)
2.	Forest Clearance	Stage I approval and stage II approval are under process with concerned department.
3.	Wildlife Clearance	Wildlife clearance is not required, as per response to pre bid queries by NHAI.
4.	Tree Cutting	Forest diversion clearances are under process and permission for cutting / felling of trees shall be obtained soon, as per response to pre bid queries by NHAI. NHAI shall assist the Concessionaire in obtaining the Applicable Permits for felling of trees to be identified by NHAI. The cost of such felling shall be borne by NHAI
5.	Utilities	Utility shifting is required in the proposed Project Highway and the work for the same has started. The cost towards utility shifting shall be borne by NHAI or by the entity owning such utility
6.	Construction of camps	PNC has initiated the process of identification of location for camps to be set up in due course of time.
7.	Testing Laboratories	PNC to set up quality control lab for testing of construction materials in due course of time.
8.	SPV Office / Guest House	PNC to set up SPV office with the required infrastructure in due course of time.

- **Permits and Approval:** The company is required to obtain the undernoted Statutory Permits & Approvals to implement the proposed Project Highway:

Status Report – Project Clearances		
SN	Nature of Clearance	Status
1	Environment Clearance	Not Applicable (As per notification dated 22 nd August 2013 issued by Ministry of Environment and Forests, if the length of Project Highway is less than 100 km, Environmental Clearance is not applicable)
2	Forest Clearance	The Joint Inspection has already been completed by the respective division Forest Officers. Compensatory Forest is identified, and procedure of diversion is in progress at DFO level.
3	Wildlife Clearance	Wildlife clearance is not applicable for the Project.
4	Utility Shifting	Utility shifting is yet to be started.
5	Status of Applicable Permits as per Schedule – E	
A	Permission of the State Government for extraction of boulder from quarry	Concession Agreement has been signed on 12 th May 2022 and after that process for obtaining various required approvals is under progress.
B	Permission of Village panchayat and Pollution control board for installation of crusher.	
C	License of the State Government for use of explosives	
D	Permission of the State Government for drawing water from river / reservoir	
E	Permission of the State Government for cutting trees.	To be started after obtaining Stage 1 Clearance of Forest Department

- **Key Terms of the Concession Agreement:**

Payment of Bid Project Cost:

40% (forty per cent)] of the Bid Project Cost, adjusted for the Price Index Multiple, shall be due and payable to the Concessionaire in 10 (ten) equal instalments of 4% (four per cent) each during the Construction Period. (Grant)

The remaining Bid Project Cost, adjusted for the Price Index Multiple, shall be due and payable in 30 (thirty) biannual instalments commencing from the 180th (one hundred and eightieth) day of COD. (Annuity)

Grant:

The grant shall be disbursed in equal instalments of 4% each as per the following schedule mentioned in the DCA):

Payment Milestones

Payment Milestone	Physical Progress Achieved	Instalment
I	5%	4%
II	10%	4%
III	20%	4%
IV	30%	4%
V	40%	4%
VI	50%	4%
VII	60%	4%
VIII	70%	4%
IX	80%	4%
X	90%	4%

Bonus on Early Completion:

In case COD is achieved on or more than 30 days prior to SCOD, the company shall be eligible for bonus equal to 0.5% of 60% of the BPC for the first 30 days by which the actual COD shall precede the SCOD and on pro-rata basis for each day preceding such 30 days' period. Bonus shall be due and payable to the concessionaire along with the 1st Annuity Payment.

Annuity

The Balance completion cost shall be due and payable in Biannual instalments over a period of 15 years commencing from COD. Of The first instalment shall fall due within 15 days of the 180th day from Actual COD/PCOD and within 15 days of completion of every 6 months thereafter. The Annuity schedule shall be as under:

Annuity	% of Completion cost	Annuity	% of Completion cost	Annuity	% of Completion cost
1	2.10%	11	2.84%	21	3.83%
2	2.17%	12	2.93%	22	3.94%
3	2.24%	13	3.02%	23	4.06%
4	2.31%	14	3.11%	24	4.18%
5	2.38%	15	3.20%	25	4.25%
6	2.45%	16	3.30%	26	4.25%
7	2.52%	17	3.40%	27	4.44%
8	2.60%	18	3.50%	28	4.71%
9	2.68%	19	3.61%	29	4.75%
10	2.76%	20	3.72%	30	4.75%

The payment of the balance project cost shall be made as per the schedule provided in CA. The pay outs would be adjusted for the Price Index Multiple. Price Index Multiple shall be computed as:

Price Index Multiple = Price Index on the date preceding the date of invoice

Price Index on the date preceding the date of bid

Price Index shall comprise of:

- a) 70% of WPI
- b) 30% of CPI

Interest on reducing balance of Annuity

The Instalments shall be paid along with interest payable on the reducing balance of Completion Cost. Such interest shall be calculated @ avg. 1yr MCLR of Top 5 Scheduled Commercial Banks plus 1.25%.

O&M Payments

The O&M Payments due and payable to the Concessionaire shall be paid in 2 equal biannual installments and disbursed by the Authority together with the corresponding installments of Annuity Payments. The O&M payment for the 1st year quoted by PNC Infratech is Rs. 3.00Cr.

Each instalment of O&M Payment shall be the product of the amount determined from above and PIM as on the Reference Index Date preceding the due date of payment thereof.

Any O&M Expenses in excess of the O&M Payments shall be borne solely by the Concessionaire, save and except as expressly provided in CA. For avoidance of doubt it is clarified that the O&M Payments will be subject to any Change in Scope of the Project of the Concessionaire under Article 16 of CA.

Mobilization Advance

The company shall be eligible for Mobilization Advance of upto 10% of BPC in two instalments. The first instalment can be availed by the company after receipt of Appointed Date and the 2second instalment can be availed after 60 days from the Appointed Date. Such requests to the Authority shall be submitted along with furnishing a Bank Guarantee in a form acceptable to the Authority. Interest shall be payable on the Mobilization Advance @ avg. 1yr MCLR of top 5 Scheduled Commercial Banks plus 1.25%, compounded annually. The Mobilization Advance shall be payable to the Authority in 8 instalments deductible from the amount of grant payable upon achievement of the mandated Construction Milestones.

As the advance get recovered from the running bills/ stage payments, the Bank Guarantee for the amount equivalent to the amount of advance recovered may be released by the Authority at the company's request. The company would be at liberty to either submit a substitute Bank Guarantee for the residual amount or multiple BGs for such residual amount in replacement of the existing BG.

Provisional Completion Certificate

Provisional Certificate shall be issued for operating part of the project, if the concessionaire has completed construction of 100% of the site made available upto 182 days from the Appointed Date. If Provisional Certificate is issued then the annuity payments shall be made as if all the work related to the project has been completed on proportionate basis.

Change of Scope

The Authority may require the provision of additional works and services which are not included in the scope of the project as per CA. Any such change in scope will be made in accordance with provisions of the CA and the cost thereof shall be expended by the concessionaire and reimbursed by the Authority.

In case the concessionaire determines that a change in scope is necessary to provide safer and improved services to the users, then it may request the Authority in writing and the authority shall within 15 days of such receipt of notice either accept such change in scope or inform the concessionaire the reasons for not accepting their recommendation.

Any works or services which are provided under and in accordance with the provisions of the CA shall form part of the Project and the provisions of this Agreement shall apply mutatis mutandis to such works or services.

On finalization of the cost of additional work, 20% of the cost shall be provided within 7 days of issuing a Change of Scope order. Post commencement of additional work, concessionaire shall present bills to Authority for payment and Authority shall disburse the amount certified by the IE within 30 days of receipt of such bills. The advance payment made earlier shall be adjusted in proportionate basis from the bill amounts.

Negative Change of Scope

In case there is a negative change of scope then the IE, upon being directed by the Authority, shall assess the civil cost of the negative scope of work. The civil cost of the negative scope shall be multiplied by 1.034 to arrive at the estimated cost of negative scope. The estimated cost of negative scope shall then be multiplied by ratio of Bid Project Cost/Estimated Project Cost to calculate the total cost of reduced scope. Before the next installment of grant the Bid project Cost shall be reduced by total cost of reduced scope and all payments and recoveries shall be adjusted from the grant installments. Since, the Bid Project Cost shall be reduced the annuity amount to be paid during the operations shall also reduce in the same proportion.

Termination Payments

• **Force Majeure Events**

a. **Non-Political Event:** If Termination is on account of a Non-Political Event, the Authority shall make a Termination Payment to the Concessionaire in an amount to be calculated as under:

▪ **Termination Prior to COD:**

Payment Milestone	Basis of calculation for termination payment
I	90% Debt Due or 0.68% of Bid Project Cost , whichever is lower
II	90% Debt Due or 1.35% of Bid Project Cost , whichever is lower
III	90% Debt Due or 5.40% of Bid Project Cost , whichever is lower
IV	90% Debt Due or 9.45% of Bid Project Cost , whichever is lower
V	90% Debt Due or 13.50% of Bid Project Cost , whichever is lower
VI	90% Debt Due or 17.55% of Bid Project Cost, whichever is lower
VII	90% Debt Due or 21.60% of Bid Project Cost, whichever is lower
VIII	90% Debt Due or 25.65% of Bid Project Cost, whichever is lower
IX	90% Debt Due or 29.70% of Bid Project Cost, whichever is lower
X	90% Debt Due or 33.75% of Bid Project Cost, whichever is lower

In case of termination happening in between two Payment Milestones, for the purpose of calculation of Debt Due, the milestone achieved would only be considered; provided further the above payment so calculated above shall be reduced by insurance cover.

▪ **Termination on or after COD:** In case Termination occurs on or after COD, the Authority shall make a Termination Payment to the Concessionaire in an amount equal to 75% (seventy five percent) of Annuity Payments remaining unpaid for and in respect of the remaining Concession Period, including interest thereon up to the Transfer Date. Provided further the above payment so calculated above shall be reduced by Insurance Cover

b. **Indirect Political Event:**

▪ **Termination Prior to COD:**

i) Debt Due payment calculated as per the table below less Insurance Cover; provided that if any insurance claims forming part of the Insurance Cover are not admitted and paid, then 80% (eighty per cent) of such unpaid claims shall be included in the computation of Debt Due. Further the Debt Due would be calculated as per the table provided below:

Payment Milestone	Basis of calculation for Debt Due payment
I	Debt Due or 0.75% of Bid Project Cost, whichever is lower
II	Debt Due or 1.50% of Bid Project Cost, whichever is lower
III	Debt Due or 6.00% of Bid Project Cost, whichever is lower
IV	Debt Due or 10.50% of Bid Project Cost, whichever is lower
V	Debt Due or 15.00% of Bid Project Cost, whichever is lower
VI	Debt Due or 19.50% of Bid Project Cost, whichever is lower
VII	Debt Due or 24.00 of Bid Project Cost, whichever is lower
VIII	Debt Due or 28.50 of Bid Project Cost, whichever is lower
IX	Debt Due or 33.00% of Bid Project Cost, whichever is lower
X	Debt Due or 37.50% of Bid Project Cost, whichever is lower

For the avoidance of doubt, it is clarified that in case of termination happening in between two Payment Milestones, for the purpose of calculation of Debt Due, the milestone achieved would only be considered ; and

ii) 110% (one hundred and ten per cent) of the Adjusted Equity;

- **Termination on or after COD:** In case Termination occurs on or after COD, the Authority shall make a Termination Payment to the Concessionaire in an amount equal to **90%** (ninety percent) of Annuity Payments remaining unpaid for and in respect of the remaining Concession Period, including interest thereon up to the Transfer Date.

c. Political Event & Authority Default:

A. Termination Prior to COD:

(a) Debt Due payment calculated as per the table below less Insurance Cover; provided that if any insurance claims forming part of the Insurance Cover are not admitted and paid, then 80% (eighty per cent) of such unpaid claims shall be included in the computation of Debt Due. Further the Debt Due would be calculated as per the table provided below:

Payment Milestone	Basis of calculation for Debt Due payment
I	Debt Due or 0.75% of Bid Project Cost, whichever is lower
II	Debt Due or 1.50% of Bid Project Cost, whichever is lower
III	Debt Due or 6.00% of Bid Project Cost, whichever is lower
IV	Debt Due or 10.50% of Bid Project Cost, whichever is lower
V	Debt Due or 15.00% of Bid Project Cost, whichever is lower
VI	Debt Due or 19.50% of Bid Project Cost, whichever is lower
VII	Debt Due or 24.00% of Bid Project Cost, whichever is lower
VIII	Debt Due or 28.50% of Bid Project Cost, whichever is lower
IX	Debt Due or 33.00% of Bid Project Cost, whichever is lower
X	Debt Due or 37.50% of Bid Project Cost, whichever is lower

in case of termination happening in between two Payment Milestones, for the purpose of calculation of Debt Due, the milestone achieved would only be considered; and

(b) 150% (one hundred and fifty per cent) of the Adjusted Equity;

- B. Termination on or after COD:** Authority shall pay to the Concessionaire, by way of Termination Payment, an amount equal to sum of Annuity Payments remaining unpaid for and in respect of the Concession Period, including interest thereon up to the Transfer Date.

d. Concessionaire Default:

In case any of the defaults specified below shall have occurred, and the Concessionaire fails to cure the default within the Cure Period set forth below, or where no Cure Period is specified, then within a Cure Period of 60 days, the Concessionaire shall be deemed to be in default of this Agreement (the "Concessionaire Default"), unless the default has occurred as a result of any breach of this Agreement by the Authority or due to Force Majeure. The defaults referred to herein shall include the following:

- A. The Performance Security has been encashed and appropriated and the Concessionaire fails to replenish or provide fresh Performance Security within a Cure Period of 15 days;
- B. Subsequent to the replenishment or furnishing of fresh Performance Security, the Concessionaire fails to meet any Condition Precedent or cure the Concessionaire Default, as the case may be, for which whole or part of the Performance Security was appropriated, within a Cure Period of 120 days;
- C. The Concessionaire does not achieve the latest outstanding Project Milestone due and continues to be in default for 120 days. Project milestones as per Schedule G of the Concession Agreement has been reproduced below*
- D. The Concessionaire abandons or manifests intention to abandon the construction or operation of the Project without the prior written consent of the Authority;
- E. COD does not occur within the period specified;
- F. The Punch List items have not been completed within the period set forth;
- G. The Concessionaire is in breach of the Maintenance Requirements or the Safety Requirements, as the case may be;
- H. The Concessionaire has failed to make any payment to the Authority within the period specified;
- A. An Escrow Default has occurred and the Concessionaire fails to cure the default within a Cure Period of 15 (fifteen) days;
- J. Upon occurrence of a Financial Default, the Lenders' Representative has by notice required the Authority to undertake Suspension or Termination, as the case may be, in accordance with the Substitution Agreement and the Concessionaire fails to cure the default within the Cure Period specified hereinabove;
- K. A breach of any of the Project Agreements by the Concessionaire has caused a Material Adverse Effect;
- AX. The Concessionaire creates any Encumbrance in breach of this Agreement;
- ALL. The Concessionaire repudiates this Agreement or otherwise takes any action or evidences or conveys an intention not to be bound by the Agreement;
- N. A Change in Ownership has occurred in breach of the CA;
- O. There is a transfer, pursuant to law either of **(i)** the rights and/or obligations of the Concessionaire under any of the Project Agreements, or of **(ii)** all or part of the project assets or undertaking of the Concessionaire, and such transfer causes a Material Adverse Effect;
- P. An execution levied on any of the assets of the Concessionaire has caused a Material Adverse Effect;
- Q. The Concessionaire is adjudged bankrupt or insolvent, or if a trustee or receiver is appointed for the Concessionaire or for the whole or material part of its assets that has a material bearing on the Project;
- R. The Concessionaire has been, or is in the process of being liquidated, dissolved, wound-up, amalgamated or reconstituted in a manner that would cause, in the reasonable opinion of the Authority, a Material Adverse Effect;
- S. A resolution for winding up of the Concessionaire is passed, or any petition for winding up of the Concessionaire is admitted by a court of competent jurisdiction and a provisional liquidator or receiver is appointed and such order has not been set aside within 90 (ninety) days of the date thereof or the Concessionaire is ordered to be wound up by a court except for the purpose of amalgamation or reconstruction; provided that, as part of such

amalgamation or reconstruction, the entire property, assets and undertaking of the Concessionaire are transferred to the amalgamated or reconstructed entity and that the amalgamated or reconstructed entity has unconditionally assumed the obligations of the Concessionaire under this Agreement and the Project Agreements; and provided that:

- i. The amalgamated or reconstructed entity has the capability and operating experience necessary for the performance of its obligations under this Agreement and the Project Agreements;
 - ii. The amalgamated or reconstructed entity has the financial standing to perform its obligations under this Agreement and the Project Agreements and has a credit worthiness at least as good as that of the Concessionaire as at the Appointed Date; and
 - iii. Each of the Project Agreements remains in full force and effect;
- T. Any representation or warranty of the Concessionaire herein contained which is, as of the date hereof, found to be materially false, incorrect or misleading or the Concessionaire is at any time hereafter found to be in breach thereof;
- U. The Concessionaire submits to the Authority any statement, notice or other document, in written or electronic form, which has a material effect on the Authority's rights, obligations or interests and which is false in material particulars;
- V. The Concessionaire has failed to fulfil any obligation, for which failure Termination has been specified in this Agreement;
- W. The Concessionaire issues a Termination Notice in violation of this Agreement;
- X. The Concessionaire commits a default in complying with any other provision of this Agreement if such default causes a Material Adverse Effect on the Authority.

***Project Construction Milestones as Per Schedule G of the CA:**

Milestone	Progress Achieved	Period
I	20% Physical Progress to be achieved and; 20% of the Total Capital Cost set forth in the financial Package to be expended	180 th day from the Appointed Date
II	35% Physical Progress to be achieved and 35% of the Total Capital Cost set forth in the financial Package to be expended of which at least 70% of the expenditure to be incurred on physical works on the project excluding advances of any kind to any person or expenditure of any kind on plant and machinery.	360 th day from the Appointed Date
III	75% Physical Progress to be achieved and; 75% of the Total Capital Cost set forth in the financial Package to be expended	750 th day from the Appointed Date
IV	COD	910 th day from the Appointed Date

The aforementioned milestone pertain to the Physical & Financial Progress Milestones (i.e. the Project Implementation Schedule) and are different from the Milestones set forth for receipt of Grant from the Authority

e. Authority Default:

In case any of the defaults specified below shall have occurred, and the Authority fails to cure such default within a Cure Period of 90 days or such longer period as has been expressly provided in this Agreement, the Authority shall be deemed to be in default of this Agreement (the "Authority Default") unless the default has occurred as a result of any breach of this Agreement by the Concessionaire or due to Force Majeure. The defaults referred to herein shall include the following:

- A. The Authority commits a material default in complying with any of the provisions of CA and such default has a Material Adverse Effect on the Concessionaire;
- B. The Authority has failed to make any payment to the Concessionaire within the period specified in CA;
- C. The Authority fails to provide, within a period of 180 days from the Appointed Date, statutory clearances required for construction of the Project; or
- D. The Authority repudiates the CA or otherwise takes any action that amounts to or manifests an irrevocable intention not to be bound by CA.

C. Termination Prior to COD

(a) Debt Due payment calculated as per the table below less Insurance Cover; provided that if any insurance claims forming part of the Insurance Cover are not admitted and paid, then 80% (eighty per cent) of such unpaid claims shall be included in the computation of Debt Due. Further the Debt Due would be calculated as per the table provided below:

Payment Milestone	Termination Payment
I	Debt Due or 0.75% of Bid Project Cost, whichever is lower
II	Debt Due or 1.50% of Bid Project Cost, whichever is lower
III	Debt Due or 6.00% of Bid Project Cost, whichever is lower
IV	Debt Due or 10.50% of Bid Project Cost, whichever is lower
V	Debt Due or 15.00% of Bid Project Cost, whichever is lower
VI	Debt Due or 19.50% of Bid Project Cost, whichever is lower
VII	Debt Due or 24.00% of Bid Project Cost, whichever is lower
VIII	Debt Due or 28.50% of Bid Project Cost, whichever is lower
IX	Debt Due or 33.00% of Bid Project Cost, whichever is lower
X	Debt Due or 37.50% of Bid Project Cost, whichever is lower

In case of termination happening in between two Payment Milestones, for the purpose of calculation of Debt Due, the milestone achieved would only be considered; and

(b) 150% (one hundred and fifty per cent) of the Adjusted Equity

D. Termination on or after COD

In case the termination occurs on or after COD, the Authority shall pay to the Concessionaire, by way of Termination Payment, an amount equal to sum of Annuity Payments remaining unpaid for and in respect of the Concession Period, including interest thereon up to the Transfer Date

Debt Due

Debt Due" means the aggregate of the following sums expressed in Indian Rupees outstanding on the Transfer Date:

1. the principal amount of the debt provided by the Senior Lenders for financing the Total Project Cost (the "principal") but excluding any part of the principal that had fallen due for repayment two years prior to the Transfer Date;
2. all accrued interest, financing fees and charges payable etc.; and
3. any Subordinated Debt which is included in the Financial Package and disbursed by lenders for financing the Total Project Cost;

provided that if all or any part of the Debt Due is convertible into Equity at the option of Senior Lenders and/or the Concessionaire, it shall for the purposes of this Agreement be deemed to be Debt Due even after such conversion and the principal thereof shall be dealt with as if such conversion had not been undertaken;

Performance Security

Company shall within 30 days of signing of the Concession Agreement provide an irrevocable and unconditional Bank Guarantee equivalent to Rs. 42.39Cr (3% of the Bid Project Cost).

b. Project Cost and means of finance

Particulars	Amount
EPC Cost^	1508.04
Interest During Construction	62.75
Pre-Operative & Other costs*	13.7
Interest from COD till 1 st Annuity	33.35
Total Cost of Project	1617.84
NHAI Grant (40% of BPC + GST)	666.94
Promoters' Contribution	171.16
Term Debt	779.75
Total Means of Finance	1617.84

*incl. IE Fee: Rs. 4.17Cr

^LIE to vet the EPC Cost of the project as assumed in Base Case Plan as part of PDC

The BPC (excl. GST @12%) is Rs. 1413.00Cr (incl. GST, the BPC shall be Rs. 1667.34Cr) and the company has estimated the Total Project Cost to be at Rs. 1617.84Cr (cushion of ~2.97%). The company has majority of their projects located in the state of Uttar Pradesh and due to this they incur lower cost on site mobilization.

The company proposes for the project to be funded in the D/E ratio of 4.56:1 and our Bank has accorded In Principle Approval for underwriting the entire debt of Rs. 737.39Cr (now revised to Rs. 779.75Cr due to change in the amount of applicable GST from 12% to 18% and IDC on account of upward revision in ROI assumptions) with final hold position of Rs. 250.00Cr.

c. DCCO: The proposed implementation Schedule of the project is as under:

Milestones	Date	Time frame
Issue of LOA	15 th March 2022	Issued
Signing of CA	12 th May, 2022	45 days from LOA
Financial Closure (on or before)	09 th October, 2022	150 days from CA signing
Appointed Date	09 th October, 2022	150 days from CA signing
Construction End Date	06 th April, 2025	910 days from AD
Scheduled Completion Date	06th April, 2025	910 days from AD
Concession End Date	06 th April, 2040	15 years from COD

d. DSCR: Min: 1.20x; Max: 1.45x; & Avg. DSCR: 1.23x

[Detailed assessment of TL to be covered in Annexure-VI].

Comments

Nil

Contingent liabilities, if any

Contingent liabilities, if any: Company is yet to commence operations. The Contingent Liabilities of PNC Infratech Ltd. (Sponsor) is as under:

Particulars	31.03.19	31.03.20	31.03.21	Remarks
Disputed Taxes	121.03	116.64	42.73	Matter pending under appeal with respective appellate authority / tribunal
LC/BG o/s	2454.56	2542.40	2168.77	Issued by Banks in normal course of business
Corporate Guarantees	86.41	69.28	58.49	Issued to secure loans
Contracts on capital account pending execution	79.11	2.17	1.84	
Capital Commitments	600.88	394.41	854.43	Pertaining to projects under execution by respective SPVs.
Court Case by NHAI	-	-	145.27	against claim award of NH-24 Project
Total	3220.96	3008.26	3302.77	

Review of TL facility

Nature of facility	Term Loan-Project Finance-For HAM Project
Account Number	
Amount Sanctioned	()
Original Date of Sanction	
Purpose of Loan	
Tenor / Repayment period (Month)	
Residual tenor (Month)	
O/s as on 13-07-2022	()
DCCO stipulated, if any	
Actual DCCO	

Comments

Nil

Other approvals

> Approval for accepting the Term Sheet (Annexure-IX) vetted by underwriting team in view of the structured nature of the proposed transaction

- > Appointment of Independent Agencies viz. LIE, LIA, LLC, Trustee etc as per previous sanctioned and documented project. (LLC-orbit Law; LIA: India Insure, LIE-FP, Trustee- Axis Trustee)
- > Approval of Internal Rating of AB PR A-

Sources of repayment

- Project Cash flows which are in the shape of biannual Annuities from the Authority (60% of Project Completion Cost along with Interest on reducing balance of Annuity @avg. 1Yr MCLR of Top 5 Scheduled Commercial Banks + 1.25%
- Sponsor Support undertaking from Sponsor and/or Promoter for meeting shortfall w.r.t. cost overrun, Termination Shortfall, Cash flow mismatches due to delay in receipt of payments form Authority, O&M Expenses, MMR Expenses and Statutory Payments
- Enforcement of Security

Comments

Weakness	Mitigants
Construction risk	Company is having excellent track record in project execution and timely completion.
Cost over run	As per concession agreement NHAI will increase the price in case delay is due to authority. Cost will increase due to delay from the company, However, they have excellent track record of completion on time.

Key Strengths:

- Satisfactory track record of timely completion
- Satisfactory financial position of the sponsor.
- Door-to-Door tenor of the proposed Debt facility is 16 years vis-à-vis Concession Period of 17.5 years. There is tail period equivalent to three semi-annual annuities to take care of any eventuality.

Rationale for Taking Exposure:

- HAM project, with complete risk on NHAI as counter party
- Strong Parentage as part of PNC Group, having excellent track record in project execution and timely completion.

Recommendation

- Sanction of RTL of Rs. 779.75Cr with hold position of upto Rs. 250.00Cr to Part Fund the execution of Project for “Construction of Six Lane Upgradable To Eight Lane of Kanpur Lucknow Expressway incl. Spur from Km 10+980 to Km 28+500 in Uttar Pradesh on Hybrid Annuity Model under Bharatmala Pariyojana (Package-I)
- Sanction of Bank Guarantee Limit (sub limit of RTL) of Rs. 155.43Cr for the purpose of Mobilization Advance.
- Sanction of Short Term Loan (Sub Limit of RTL) of Rs. 155.43Cr (max. Tenor of 24 months) to be availed in lieu of Mobilization Advance BG.

We certify that RBI instructions/Central Office instructions/ Foreign Regulatory Authorities (viz. MAS/DFSA/IBU guidelines, as applicable) including instructions on documentation/instructions of other regulatory authorities/local laws etc. have complied with/ have been suitably stipulated for compliance in due course.

List of Annexures and List of Supporting Documents

List of Annexure:

Annexure-I: Detail on Company and Group
Annexure-II: Debt profile of the company and conduct
Annexure-III: Security Detail
Annexure IV: Market Feedback
Annexure-V: Hedging policy and Unhedged Foreign Currency exposure
Annexure-VI: Assessment of Term Loan/ Project
Annexure-VII: Industry Analysis
Annexure-VIII: Prudential exposure norms and other due diligence
Annexure-IX: Term Sheet

List of supporting documents attached: (i) Financial Model (ii) ESDD report, if applicable (iii) Compliance Checklist (iv) RAROC Computation (v) Modification/ deviation from standard term sheet, if any, covering justification (vi) BQS Report (Not available) (vii) CRILC Report (Not Available)

QUERY AND RESPONSE DETAILS						
Sr No.	Underwriting Query			Coverage Response		
	User Name	Date & Time	Query Description	User Name	Date & Time	Response

QUERY RESPONSE							
Sr No.	Query			Response			Status
	User Name	Date & Time	Query Description	User Name	Date & Time	Response	

Annexure-I

A. Company Details:

Constitution	
Registered Office	
Existing Cust ID (If any)	
Name of Branch (Sol ID)	
Industry Type	
CIN No.	
Business segment	
LEI no. and date of expiry	
Beneficial Owner	
NIC Code	
Overseas Step-down Subsidiary of Indian Corporate (OSDS-IC)	
Contact Details	
PAN	

About Company
undefined

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Annexure-II

Debt profile of the company

1. **Bank wise TL limits:** The Company has proposed for underwriting of total Debt requirement of 741.00Cr for which In-Principle approval has been accorded by our Bank with final Hold position of Rs. 250.00Cr.
2. **Bank wise WC limits:** Nil (existing as well as proposed)
3. **Debt Profile of PNC Infratech Ltd. (Sponsor)**

a. Bank wise TL limits

(Rs. in Cr)

Name of Bank / FI	Facility	Sanctioned Amt.	O/s
HDFC BANK	Equipment Loan	180.00	146.78
KOTAK MAHINDRA BANK	Equipment Loan	75.00	37.24
AXIS BANK	Equipment Loan	75.00	42.83
INDUSIND BANK	Equipment Loan	40.00	21.66
TATA CAPITAL FINANCE LTD	Equipment Loan	35.00	6.93
TATA MOTOR FINANCE LTD	Equipment Loan	25.00	6.31
HINDUJA LEYLAND FINANCIAL LTD	Equipment Loan	12.00	3.42
IDFC BANK	Equipment Loan	10.00	3.48
ICICI BANK	Equipment Loan	75.00	65.86
BANK OF BARODA	Equipment Loan	0.20	0.15
CANARA BANK	Equipment Loan	0.96	0.78
TOTAL		528.16	335.44

b. Bank wise WC limits

(Rs. in Cr)

Name	Non Fund Based		Fund Based		Total Limit	Utilization
	Limit	o/s 31.3.22	Limit	o/s 31.3.22		
Bank of Baroda	1,640.00	659.49	442.00	0.00	2,082.00	659.49
Punjab National Bank	1,070.00	945.80	280.00	0.00	1,350.00	945.80
State Bank of India	1,023.00	642.59	117.00	0.00	1,140.00	642.59
Axis Bank Limited	340.00	307.38	40.00	0.00	380.00	307.38
IndusInd Bank	275.00	213.01	25.00	0.00	300.00	213.01
Central Bank of India	135.00	103.45	53.00	0.00	188.00	103.45
Union Bank of India	198.00	126.69	2.00	0.00	200.00	126.69
Indian Bank	170.00	21.00	30.00	0.00	200.00	21.00
ICICI Bank	100.00	74.45	10.00	0.00	110.00	74.45
Canara Bank	49.00	-	1.00	0.00	50.00	-
Total	5,000.00	3,093.86	1,000.00	0.00	6,000.00	3,093.86

Conduct of the account

Sr.No	Particulars	Adverse	Remark
1	Identification of accounts under: (Provide Details of those triggers that are attracted)	No	
2	A. Financial Difficulty Framework (Trigger 1 to 4)	No	
3	B. RFA (Category - I,II,III)	No	
4	Is company reported under EWS(4/5/6/7) in last twelve month?	No	
5	Whether restructured/OTS in the past?	No	
6	Any BG/LC Devolvement in past 12 month?	No	
7	Cheque returns in past 12 months?	No	
8	Default in payment of intrest/instalment for more than 7 days past 12 months?	No	
9	Approx % of sales proceed routed through our bank.	Yes	through escrow account
10	Any other observation	No	

Annexure-VIII
Ceiling

Sr No	Particulars	
1	Individual borrower exposure ceiling prescribed by RBI & internal rating based ceiling has been complied.	
	Rs Crore	
	Individual exposure	235751200250
	Group Exposure	35362.552372136.06
	Industry Exposure	
	Unsecured Exposure (Bank ceiling) Corporate	30%
	Unsecured Exposure (Bank ceiling) Total	35%
2	2 a. Is the exposure part of sensitive sectors : 2 b. If yes, please mention category CRE/Capital Market/Commodities Exposure:	No
3	3 a. The advance is eligible for classification as priority sector lending 3 b. If yes, please mention category	No
4	Eligible for Interest Equilization (If yes then mention HS code)	No
5	Whether TL is eligible for any subsidy.	NA

Comments
Details of Group Exposure:

S.No.	Group company	Existing	Proposed
1	PNC Infratech Ltd.**	705.00	705.00
2	PNC Aligarh Highways Pvt. Ltd.	205.00	205.00
3	PNC Bundelkhand Highway Pvt. Ltd.	204.00	204.00
4	MP Highways Pvt. Ltd.	26.56	26.56
5	PNC Challakere Highways Pvt. Ltd.	200.00	200.00
6	PNC Meerut Haridwar	150.00	150.00
7	PNC Bithur Kanpur Highways Pvt. Ltd.	245.00	245.00
8	PNC Rajasthan Highways Pvt. Ltd.	150.50	150.50
9	Kanpur Lucknow Expressway Pvt. Ltd*	0.00	250.00
10	Awadh Expressway Pvt. Ltd.*	0.00	250.00
	Total	1886.06	2386.06

*Proposed group exposure basis proposed underwriting position: 3442.66Cr
Break-up of Exposure in PNC Infratech:
FBWC: 100
NFBWC: 500
Equipment/Vehicle Loan: 75.00
UCL Factoring Scheme: 30.00

Comments
Open Audit observations (Credit /CBO/ RBI/ Stock Audit etc.) and comments: NA as NTB

Comments
yet to be conducted

Whether the company or its directors appear in the following list as on recent date

Particulars	Date of Verification/Publication	Yes/No	Brief Remarks
RBI/ CIBIL Defaulters / Wilful Defaulter / Caution / Caution list exporters / UNSCR / suit filed Lists		No	BQS report shall be generated subsequently and noting of group head shall be obtained Newly incorporated Project SPV with Nil borrowing
SMA Status (CRILC)		No	CRILc not working. Noting of Group Head shall be obtained. Newly incorporated Project SPV with Nil borrowing
BQS Status (report to be attached)	13-07-2022	No	BQS report shall be generated subsequently and noting of group head shall be obtained. Newly incorporated Project SPV with Nil borrowing.
Probe Report (Only for MC accounts)		NA	NA as LC

Comments

	Date of verification/Publication	Yes/No	Brief Remarks
BI/ CIBIL Defaulters/ Wilful Defaulter/ Caution/ :aution list exporters/UNSCR/ suit filed Lists	BQS report shall be generated subsequently and noting of group head shall be obtained	No	Newly incorporated Project SPV with Nil borrowing.
MA status (CRILC)	CRILc not working. Noting of Group Head shall be obtained.	No	Newly incorporated Project SPV with Nil borrowing

QS Status (report to be attached)	BQS report shall be generated subsequently and noting of group head shall be obtained	No	Newly incorporated Project SPV with Nil borrowing.
rope Report (only for MC accounts)	NA as LC	--	--

Financial Difficulty Framework (as per CCP 22-23).

S. No.		Adverse (Y/N)	Remarks
1	Financial Difficulty Framework		
Trigger 1	Term Loan or Working Capital Facility under default for more than 30 days	NA	-
Trigger 2	NPA with any bank	No	-
Trigger 3	Borrowers has been 30+ DPD in any of last 3 month ends	No	-
Trigger 4	Internal Rating BB and below	No	Rating A-
Trigger 5	Breach in 2financial covenant s with deviation > 25%	No	No breach
Trigger 6	If any security of the company has been delisted in the past one year or is in the process of being delisted from an exchange due to noncompliance with the listing requirements	NA	Not Listed
Trigger 7	RFA or fraud with any bank	No	Newly incorporated SPV
Trigger 8	Adverse qualification / comments by Statutory Auditor with regards to "going concern" recorded in last annual audited report. Evidence of overdue undisputed statutory dues based on company's Audited Annual Report and from any verified source of information or news in the form of notice of attachments from statutory authorities, arrests made for unpaid statutory dues, etc	NA	Newly incorporated SPV
2	Appraisal EWS Trigger under RFA Framework	NA	NTB

2. Appraisal EWS Trigger under RFA Framework -

Category II	Credit Reply
Default in payment to the banks /sundry debtors and other statutory bodies, etc.	NA
Frequent change in the scope of the project to be undertaken by the borrower.	No
Costing of the project which is in wide variance with standard cost of installation of the project.	No
Liabilities appearing in ROC search report, not reported by the borrower in its annual report.	None observed
Claims not acknowledged as debt high.	Nil
Substantial related party transactions.	Yes; the EPC contractor of the project is PNC Infratech Ltd which is also the sponsor
Large number of transactions with inter-connected companies and large outstanding from such companies.	
Material discrepancies in the annual report.	NA
Significant inconsistencies within the annual report (between various sections).	NA
Poor disclosure of materially adverse information and no qualification by the statutory auditors.	NA
Frequent request for general purpose loans.	NA
Frequent ad-hoc sanctions.	NA
Funding of the interest by sanctioning additional facilities.	NA

Assessment of EWS Trigger (Trigger II-Borrower): Also, add a separate table for Corporate Guarantor

Appraisal EWS Triggers	Objective Parameters	Yes/No	Remarks
Default in payment to the banks /sundry debtors and other statutory bodies, etc.		No	
Frequent change in the scope of the project to be undertaken by the borrower.	If the scope of the project changes more than once the borrower has to be alerted under this category	No	
Costing of the project which is in wide variance with standard cost of installation of the project.	Costing of the cost overrun which is in variance of more than 20% to the standard cost of installation of similar project. The similarity of the project may be decided by LIE/Similar projects considered at the time of approval of loan. Further, where the equipment is not procured from the OEM directly, cost may be compared with OEM quotes, or the invoices from the previous buyer may also be examined.]	No	
Liabilities appearing in ROC search report, not reported by the borrower in its annual report.		No	
Claims not acknowledged as debt high.	Claims not acknowledged as debt excluding guarantees or LC limit used by the Company is more than 50% of the Tangible Net worth (TNW) of the company. TNW may include any USL, Convertible instruments or any quasi equity provided by the promoters.	No	
Substantial related party transactions.	The transactions with related parties aggregate more than 10% of its annual turnover.	No	Yes; the EPC contractor of the project is PNC Infratech Ltd which is also the sponsor
Large number of transactions with inter-connected companies and large outstanding from such companies.*	Transaction exceeding 10% of turnover with inter-connected companies or Outstanding◆◆◆s more	No	Yes; the EPC contractor of the project is PNC Infratech Ltd which is also the sponsor

	than 20% of the TNW of the borrower with inter-connected companies during the financial year		
Material discrepancies in the annual report.		No	
Significant inconsistencies within the annual report (between various sections).	1. Inconsistencies in Provisional and Final Annual report numbers, the amount of deviation should be more than 20%. 2. Inconsistencies between the Stock statement and Annual report numbers, again the deviation should be more than 20%.	No	
Poor disclosure of materially adverse information and no qualification by the statutory auditors.		No	
Frequent request for general purpose loans.	Request for General Purpose Corporate Loan with our Bank more than 2 times in one Financial year	NA	
Frequent ad-hoc sanctions.	Ad-hoc sanctions for more than 3 times in one Financial year excluding TODs	NA	
Funding of the interest by sanctioning additional facilities.		NA	
Frequent TODs	TODs issued for more than 7 days and twice in a year	NA	

ANNEXURES

Annexures

A. Company Details:

Constitution	Pvt. Ltd. Co.
Registered Office	Cabin No. 4, NBCC Plaza, T
Existing Cust ID (If any)	NA as NTB
Name of Branch (Sol ID)	NA as NTB
Industry Type	Infrastructure Roads
CIN No.	U45309DL2022PTC396477
Business segment	LC
LEI no. and date of expiry	Yet to be obtained
Beneficial Owner#	Devendra Kumar Maheshw
NIC Code	45019-Other Infrastructure Cor
Overseas Step-down Subsidiary of Indian Corporate (OSDS-IC)	No
Contact Details	Mr. D.K. Maheswari dkm@pnc
PAN	AAJCK4527E

[As per RBI / internal circular, in case no natural person can be identified as beneficial owners, relevant natural person who holds the position of senior managing off

Name of Directors

Name	Designation	DIN	Other Directorship
Devendra Kumar Maheshawari	Director	03499179	PNC Triveni Sangam Highways PNC Meerut Haridwar Highways
Pankaj Kumar Agarwal	Director	05168566	MP Highways Pvt. Ltd., PNC Bitt Ferrovia Transrail Solutions Pvt. Li

Movement of Share holding pattern:

The Company shall be wholly owned by PNC infra Holdings Ltd, which in turn is wholly owned by PNC Infratech Ltd.

Consolidated Financials (PNC Infratech Ltd-Sponsor):

Particulars	Audited 31.03.2018	
Net sales	2,411.39	
Operating Profit	763.13	
PAT	243.01	
Cash Profit	504.82	
TNW*	1,510.38	
Long Term Debt	1842.72	
Short Term Debt	22.51	
TOL / TNW	2.79	

Latest Quarterly results (Consol):

Particulars	Q4FY21	Q4FY22	% change
Revenue	1864.27	2143.34	14.97%
EBDITA	419.91	525.6	25.17%
EBDITA/ Net sales (%)	22.50%	24.50%	
Other income	23.55	21.31	-9.51%
PAT	152.15	302.94	99.11%
Cash accruals	240.81	382.42	58.81%

Comments:

The consolidated financials include financials of PNC Infratech Ltd., its 19 subsidiaries/step-down subsidiaries and 1 associate company. PNC on standalone ba

S.No.	Name of company	Category	E
1	MP Highways Private Limited	Subsidiary	
2	PNC Delhi Industrial infra Private Limited	Subsidiary	
3	PNC Kanpur Highways Limited	Subsidiary	

4	PNC Bareilly Nainital Highways Private Limited	Subsidiary	
5	PNC Rajasthan Highways Private Limited	Subsidiary	
6	PNC Raebareli Highways Private Limited	Subsidiary	
7	Ghaziabad Aligarh Expressway Pvt Ltd	Associate	
8	PNC Chitradurga Highways Private Limited	Subsidiary	
9	PNC Bundelkhand Highways Private Limited	Subsidiary	
10	PNC Khajuraho Highways Private Limited	Subsidiary	
11	PNC Triveni Sangam Highways Private Limited	Subsidiary	
12	PNC Aligarh Highways Pvt. Ltd	Subsidiary	
13	PNC Challakere(Karnataka) Highways Pvt. Ltd. ("PNC(K)HPL")	Subsidiary	
14	PNC Kanpur Ayodhya Tollways Private Limited	Subsidiary	
15	PNC Infra Holdings Limited	Subsidiary	
16	Ferovia Transrail Solutions Private Limited	Subsidiary	
17	PNC Bithur Kanpur Highways Pvt. Ltd.	Subsidiary	
18	PNC Gomti Highways Pvt. Ltd.		
19	PNC Unnao Highways Pvt. Ltd.	Subsidiary	
20	PNC Meerut Haridwar Highways Pvt. Ltd.		

^Captured for FY21
** Inadequate toll collection vis-à-vis the repayment obligation of the company has resulted in stretched liquidity position of the company, leading to delays in debt s

Present Status of Account of Ghaziabad Aligarh (as on March-2022):
PNC Infratech Ltd., along with its wholly owned subsidiary, PNC Infra Holdings Ltd. and other partners / promoters has entered into a Share Purchase Agreement on C
The company has provided for total impairment of Rs. 129.72Cr on Standalone basis and 167.30Cr on consolidated basis.

- Consolidated financial performance of the company may be considered acceptable since all the BOT projects have achieved COD and toll collection revenue
- EPC projects contribute ~85% of overall revenues while ~15% revenues come from toll/annuity projects
- The company is operating 6 BOT & 1 OMT project, comprising of both toll & annuity assets and 11 HAM projects comprising of 6 HAM projects under construction
- Leverage has been continuously improving y-o-y and has improved from 2.32 as on 31.03.20 to 2.18 as on 31.03.21.

Consolidated financials may be considered satisfactory.

B. **Major Group Companies:** The PNC Group comprises of PNC Infratech Ltd., which is the ultimate Parent Company and PNC Infra Holdings Ltd. which is the SPV h

Debt profile of the company

1. **Bank wise TL limits:** The Company has proposed for underwriting of total Debt requirement of 741.00Cr for which In-Principle approval has been accorded by ot
2. **Bank wise WC limits:** Nil (existing as well as proposed)
3. **Debt Profile of PNC Infratech Ltd. (Sponsor)**

a. Bank wise TL limits

Name of Bank / FI	Facility
HDFC BANK	
KOTAK MAHINDRA BANK	
AXIS BANK	
INDUSIND BANK	
TATA CAPITAL FINANCE LTD	
TATA MOTOR FINANCE LTD	
HINDUJA LEYLAND FINANCIAL LTD	
IDFC BANK	
ICICI BANK	
BANK OF BARODA	
CANARA BANK	
TOTAL	

b. Bank wise WC limits

Name	Non Fund Based		Limit
	Limit	o/s 31.3.22	
Bank of Baroda	1,640.00	659.49	442.00
Punjab National Bank	1,070.00	945.80	280.00
State Bank of India	1,023.00	642.59	117.00
Axis Bank Limited	340.00	307.38	40.00
Indusind Bank	275.00	213.01	25.00
Central Bank of India	135.00	103.45	53.00
Union Bank of India	198.00	126.69	2.00
Indian Bank	170.00	21.00	30.00
ICICI Bank	100.00	74.45	10.00
Canara Bank	49.00	-	1.00
Total	5,000.00	3,093.86	1,000.00

1. Conduct of the account: Following parameters may be checked. [To be commented *briefly only if there is adverse observation*].

S.N.	Particulars
1.	Identification of accounts under :
	A. Financial Difficulty Framework (Trigger 1 to 4)

	B. RFA (Category-I,II and III)
2.	Is company reported under EWS (4/5/6/7) in last twelve months?
3.	Whether restructured / OTS in the past?
4.	Any BG/ LC devolvement/ Cheque returns/ default in payment of interest/ instalment for more than 7 days in past 12 months?
5.	Approx. % of sales proceed routed through our Bank.
6.	Any other observation

Security Details:

Type of security	Description
Primary	Primary: a. a first mortgage and charge on all the Borrower's immovable properties, both present and future, save and except the Project Assets; b. a first charge on all the Borrower's tangible moveable assets, including moveable plant and machinery, machinery spares, tools, fixtures, vehicles and all other movable assets, both present and future save and except the Project Assets; c. a first charge over all accounts of the Borrower including the Escrow Account and the Sub-Accounts (or any account in sub-accounts opened in accordance with this Agreement and the Supplementary Escrow Agreement, or any of the other Project Documents time deposited therein, the Receivables and all Authorized Investments or other securities, provided that: • The same being applied to the extent of waterfall of priority of payment as specified in the Concession Agreement and the Escrow Agreement and beyond that; • the charge over the Receivables shall be enforceable by the Lenders or on their behalf only for the purpose of ensuring that the amounts received thereupon are credited to the Escrow Account for the purpose of being applied to the extent of waterfall of priority of payment as specified in the Concession Agreement and the Escrow Agreement and not beyond that d. a first charge on all intangibles assets including but not limited to goodwill, rights, undertaking and uncalled capital present and future of the Borrower (provided that all amounts received on account of any of these shall be deposited in the Escrow Account and shall be subject to the extent permissible as per the priority specified in the Concession Agreement and the Escrow Agreement and uncalled capital, as set in above, shall be subject to the Concession Agreement; e. Assignment by the way of Security in: • all the right, title, interest, benefits, claims and demands whatsoever of the Borrower in Project Documents; • the right, title and interest of the Borrower in, to and under all the Government Approvals; • all the right, title, interest, benefits, claims and demands whatsoever of the Borrower in any letter of credit, guarantee including but not limited to liquidated damages and performance bond provided by any party to the Project Documents; • all the right, title, interest, benefits, claims and demands whatsoever of the Borrower under all Insurance Contracts; Provided that the charge on assignment mentioned in paragraph (e) above shall be enforceable: • in the manner specified in the Substitution Agreement so as to enable the Nominated Company (as defined under the Concession Agreement) to substitute the Borrower in respect thereof as per the Substitution Agreement; • only for the purpose of ensuring that the amounts received thereupon are credited to the Escrow Account for the purpose of being applied to the extent of waterfall of priority of payment as specified in the Concession Agreement and the Escrow Agreement and not beyond that. f. A pledge of 51% of the issued, paid up and voting equity share capital of the Borrower held by the Promoter in the Borrower's share capital. Provided that any enforcement of the pledge over shares shall be subject to the Concession Agreement and the prior approval of the Bank provided therein. The shares pledged to the Lenders shall be free from any restrictive covenants/ lien or other encumbrance under any contract, shareholder agreement / joint venture agreement / transfer of the shares etc. The pledge shall be subject to Sec 19(2) of the Companies Act, 2013 (or any law for the time being in force) to be restricted to 30% and Non Disposal and Non encumbrance Undertaking) to be obtained for 21% in case of single lender. At no point, the proportionate share of any one lender shall be more than 30%. Provided that: • the aforesaid mortgages, charges, assignments, guarantees and the pledge of equity shares shall in all respects rank pari-passu amongst the senior Lenders, in accordance with the Concession Agreement, without any preference to one over the other or others; and • the Security Interest stipulated in sub-paragraphs (a) to (f) hereinabove shall exclude the Project Assets (as defined in the Concession Agreement). Any additional collateral security other than those mentioned herein above offered by Borrower to other lenders (in case of project financing) shall be available to the Bank. The aforesaid charges shall rank pari-passu amongst the senior Lenders participating in the Project.

Asset cover calculation:

As per the extant RBI guidelines, in case of PPP projects, the debts due to the lenders may be considered as secured to the extent assured by the project authority in the form of bank guarantee.

Particulars	
User charges / toll / tariff payments are kept in an escrow account where senior lenders have priority over withdrawals by the concessionaire	Complied as per
There is sufficient risk mitigation, such as pre-determined increase in user charges or increase in concession period, in case project revenues are lower than anticipated	Tolling risk is not

The lenders have a right of substitution in case of concessionaire default	Complied as
The lenders have a right to trigger termination in case of default in debt service	Non adheren
Upon termination, the Project Authority has an obligation of (i) compulsory buy-out and (ii) repayment of debt due in a pre-determined manner	As per CA, Nt

Details of Security/Guarantors which will be created prior to first disbursement: Security creation to be done upfront basis. However for ROC filing we may allow 30 da

Market Feedback: Annexure-I

• **Market feedback on Borrower:**

PNC Infratech Ltd (Sponsor), rated CARE AA/A1+; is a public limited company and feedback is positive. Axis Bank has group exposure of ~Rs. 1886.06Cr as on date (e

Hedging policy and Unhedged Foreign Currency e

Hedging policy of the company: Not Applicable as No Forex Exposure proposed

Assessment of Term Loan/ Pi

1. **Schedule of Implementation:** As per CA timelines, the schedule of Implementation is as under:

Milestones	Date
Issue of LOA	15.03.2022
Signing of CA	12.05.2022
Financial Closure (on or before)	09.10.2022
Appointed Date	09.10.2022
Construction End Date	06.04.2025
Scheduled Completion Date (SCOD)	06.04.2025
Concession End Date	06.04.2040

2. **Consultants / contractors appointed / to be appointed for the project:**

Consultant / Constructor	Agency	
EPC Contractor	PNC Infratech Limited	To design, engineer, procure machinery, equipment, material, apparatus, instrumentation, software and g all the Project Facilities, activities towards coordination for land acquisition and carrying out encroachment
O&M Contractor	To be Appointed	For carrying out the O&M & MM of the project
TEV Consultant	To be appointed	To assess the technical evaluation of the Project by reviewing the development proposal, review of the CA
Lender's Independent Engineer (LIE)	To be appointed	To audit the design and the cost estimates of the Concessionaire by identifying risks, reviewing designs, Proj
Lender's Legal Counsel (LLC)	To be appointed	To prepare and execute all Financing Agreements and conduct a due diligence review of matters relati compliance with such Indian laws, administrative regulations, and guidelines as are required for establishm
Lender's Insurance Advisor (LIA)	To be appointed	Conducting a risk review of the Project by identifying major exposures and advising how they can be mitiga
Security Trustee	To be appointed	Execution and creation of security in line with sanctioned terms. They also ensure proper documentation, v of the documents executed
Transaction Advisor	Infrastructure Advisors Private Limited	To prepare the Information Memorandum (IM), this includes Project's viability and risk assessment, review c related to Financials and Legal issues.

3. **Technology/Process:** NA

4. **Status of Approvals:** List of Approvals required and Current status of approvals, critical approvals already obtained / to be obtained and its effect on the project

Pre-construction Activities and status of Various Approvals and Clearances:

SN	Nature of Clearance	
1	Environment Clearance	Not Applicable (As per notification dated 22 nd August 2013 issued by Minis
2	Forest Clearance	Stage I approval and stage II approval are under process with concerned
3	Wildlife Clearance	Wildlife clearance is not required, as per response to pre bid queries by NH
4	Tree Cutting	Forest diversion clearances are under process and permission for cutting /
5	Utilities	NHAI shall assist the Concessionaire in obtaining the Applicable Permits for
6	Construction of camps	Utility shifting is required in the proposed Project Highway and the work for
7	Testing Laboratories	PNC has initiated the process of identification of location for camps to be
8.	SPV Office / Guest House	PNC to set up quality control lab for testing of construction materials in due
		PNC to set up SPV office with the required infrastructure in due course of fir

Permits and Approval: The Company is required to obtain the undernoted Statutory Permits & Approvals to implement the proposed Project Highway:

Status Report – Project Clearanc		
SN	Nature of Clearance	
1	Environment Clearance	Not Applicable (As per notification dated 22 nd August 2013 issued
2	Forest Clearance	The Joint Inspection has already been completed by the respecti
3	Wildlife Clearance	Wildlife clearance is not applicable for the Project.

4	Utility Shifting	Utility shifting is yet to be started.
5	Status of Applicable Permits as per Schedule – E	
A	Permission of the State Government for extraction of boulder from quarry	Concession Agreement has been signed on 12 th May 2022 and at
B	Permission of Village panchayat and Pollution control board for installation of crusher.	
C	License of the State Government for use of explosives	
D	Permission of the State Government for drawing water from river / reservoir	
E	Permission of the State Government for cutting trees.	To be started after obtaining Stage 1 Clearance of Forest Departm

5. In case of other project loans where LIE is not appointed, appraisal note to capture, as far as possible, the details of the major suppliers of the plant and material. Adverse remarks in CRILC/Probe 42 /D&B Report (For overseas suppliers), if any etc.: LIE shall be appointed for the project prior to release of Credit facilities and

6. Schedule of disbursement along with major milestones to be achieved in project implementation: The disbursement of loan shall be on the basis of the LIE report by the Company as per Terms of sanction.

7. Marketing Arrangements: Not Applicable as project is under Hybrid Annuity Model with revenues being in the form of Semi-annual Annuities.

8. Financial Projections:

Key Assumptions: (Comment on key assumption along with rationale)

Comment on acceptability on projections. (Need to specifically comment that the project appears viable or not).

The Company is a SPV incorporated for implementation and operation of a Road Project under Hybrid Annuity Model. Considering that the project is under implementation

Projected P&L Statement:

FYE	31.03.26	31.03.27	31.03.28	31.03.29	31.03.30	31.03.31	31.03.32	31.03.33
Income Statement								
TPC Annuity	19.49	40.94	43.54	46.14	49.01	51.99	55.23	
Inflation	0.00	0.00	0.00	0.00	0.00	0.00	0.00	
O&M	1.74	3.59	3.73	3.88	4.04	4.20	4.37	
Interest on Annuity	41.54	80.44	76.72	72.76	68.57	64.12	59.39	
Total	62.78	124.97	123.99	122.78	121.62	120.30	118.99	
Operating Expenses								
Routine Maintenance Exp.	0.00	0.00	0.00	0.00	0.00	1.63	1.74	
Other O&M	1.41	3.28	3.38	3.49	3.61	3.73	3.86	
MMR Provisioning	0.00	5.79	5.79	5.79	5.79	5.79	5.79	
Total	1.41	9.06	9.17	9.28	9.39	11.15	11.38	
EBITDA	61.37	115.90	114.82	113.50	112.23	109.16	107.61	
EBITDA %	97.76%	92.75%	92.61%	92.44%	92.28%	90.74%	90.44%	
Interest	61.32	59.24	55.01	50.12	44.95	39.53	34.48	
Depreciation & Amortization	28.60	26.89	56.45	55.90	55.37	54.73	54.13	
PBT	-28.55	29.77	3.36	7.48	11.91	14.90	19.00	
Less: CSR	0.00	0.00	0.00	0.09	0.17	0.23	0.30	
Tax	0.00	0.00	0.00	0.00	0.00	0.00	0.00	
PAT	-28.55	29.77	3.36	7.39	11.74	14.67	18.70	

Projected Balance Sheet

Balance Sheet								
FYE	31.03.26	31.03.27	31.03.28	31.03.29	31.03.30	31.03.31	31.03.32	31.03.33
Liabilities								
Paid Up Capital	85.58	85.58	85.58	85.58	85.58	85.58	85.58	
Reserves & Surplus	-28.55	-28.78	-25.42	-18.00	-6.24	8.42	27.12	
USL from Promoters	85.58	85.58	85.58	85.58	85.58	85.58	85.58	
Total Equity	142.61	142.38	145.74	153.16	164.92	179.58	198.28	
Long Term Debt	729.06	670.58	608.20	542.70	474.09	413.27	350.89	
MMR Provision	0.00	5.79	11.58	17.36	23.15	28.94	0.50	
Total Long Term Liabilities	729.06	676.37	619.78	560.07	497.24	442.20	351.38	
CMLTD	38.99	58.48	62.38	65.50	68.62	60.82	62.38	
Total	910.66	877.23	827.90	778.72	730.77	682.60	612.04	
Assets								
Project Asset Net Block	758.91	702.06	645.65	589.79	534.47	479.74	425.60	
Preliminary Exp. Not W/off	0.17	0.13	0.09	0.04	0.00	0.00	0.00	
DSRA Fund	25.82	56.75	56.25	55.22	54.07	47.65	45.95	
MMR Fund	0.00	5.79	11.58	17.36	23.15	28.94	0.50	
Working Capital Reserve	7.03	6.62	6.12	5.60	5.24	4.70	4.15	
GST Credit	118.74	96.61	74.67	52.95	31.45	10.50	0.00	
Cash & Bank Balance	0.00	9.29	33.55	57.75	82.39	111.08	135.83	
Total	910.66	877.23	827.90	778.73	730.77	682.61	612.04	

Particulars

Base Case

ROI increase by 1% while Avg. MCLR of top 5 Banks remains same

Avg. MCLR of top 5 Banks decrease by 1% while ROI remains same
Increase on Routine Maintenance by Rs. 1.00Lacs per Lane km

Key Dates	
Appointed Date	09.10.2022 (15)
Construction Period	910 days from
Construction End Date	05.04.2025 (91)
SCOD	05.04.2025 (91)
Concession Period (excluding construction)	15 years
Moratorium	6 month 15 dc
Repayment Start Date	18.10.2025 (19.
Repayment End Date	18-10-2038
Annuity Start Date	180 days from
Annuity End Date	05.04.2040
Concession End Date	05.04.2040
Tail annuities	3 Annuities

Key Assumptions for Annuity	
Increase in CPI	
Increase in WPI	
Price Index	
Avg. MCLR of Top 5 Sch. Commercial Banks	
Interest for Annuity	

Operating Assumptions	Units
Total Annuity	Rs Cr
Grant Delay	Months
Base Year	
Routine Maintenance Expense	Rs lakh /lane/Km
Other O&M Exp.	Rs lakh /lane/Km
MMR	Rs lakh /lane/Km
MMR	Rs Cr (base year)
Interest (during construction)	p.a.
Interest (POST 1ST ANNUITY)	p.a.
Income Tax	p.a.
MAT	p.a.

9. **Breakeven Analysis:** Not Applicable
10. **Repayment:** The Term Loan shall be repayable in 27 Structured Semi Annual instalments commencing post moratorium of 6 month 15 days post COD.

The tentative Repayment Schedule is as under:

1	1.50%	10	
2	2.50%	11	
3	2.50%	12	
4	3.75%	13	
5	3.75%	14	
6	4.00%	15	
7	4.00%	16	
8	4.20%	17	
9	4.20%	18	

11. DSCR computation and Sensitivity Analysis of DSCR (excluding internal accruals proposed to be used as promoters margin in the capex, if applicable):						
Particulars	FY26	FY27	FY28	FY29	FY30	FY31
PAT	-28.55	-0.23	3.36	7.42	11.76	14.67
Add: Depreciation	28.60	56.89	56.45	55.90	55.37	54.73
Add: Interest	61.32	59.24	55.01	50.12	44.95	39.53
Add: Interest from COD to 1st Annuity	33.35					
Add: Output GST	11.30	22.49	22.32	22.10	21.89	21.65
Less: GST Input	-0.16	-0.37	-0.38	-0.38	-0.39	-0.70
Less: GST payment to government	0.00	0.00	0.00	0.00	0.00	0.00
CFADS	105.87	138.03	136.76	135.15	133.57	129.88
Interest	61.32	59.24	55.01	50.12	44.95	39.53
Repayment	11.70	38.99	58.48	62.38	65.50	68.62
Debt Obligations	73.02	98.22	113.49	112.50	110.45	108.15
DSCR	1.45	1.41	1.21	1.20	1.21	1.20
Average DSCR		1.23				
Minimum DSCR		1.20				

Sensitivity Analysis:	
Particulars	
Base Case	

ROI increase by 1% while Avg. MCLR of top 5 Banks remains same
Avg. MCLR of top 5 Banks decrease by 1% while ROI remains same
Increase on Routine Maintenance by Rs. 1.00Lacs per Lane km

• Calculation of Termination Shortfall in case of concessionaire default post COD

	Annuity Payment	Termination Payment
31-Oct-25	19.49	590.73
30-Apr-26	20.14	577.64
31-Oct-26	20.79	564.12
30-Apr-27	21.44	550.18
31-Oct-27	22.09	535.82
30-Apr-28	22.74	521.04
31-Oct-28	23.39	505.83
30-Apr-29	24.14	490.14
31-Oct-29	24.88	473.97
30-Apr-30	25.62	457.32
31-Oct-30	26.36	440.18
30-Apr-31	27.20	422.50
31-Oct-31	28.03	404.28
30-Apr-32	28.87	385.51
31-Oct-32	29.71	366.20
30-Apr-33	30.63	346.29
31-Oct-33	31.56	325.78
30-Apr-34	32.49	304.66
31-Oct-34	33.51	282.87
30-Apr-35	34.53	260.43
31-Oct-35	35.55	237.32
30-Apr-36	36.58	213.54
31-Oct-36	37.69	189.05
30-Apr-37	38.80	163.82
31-Oct-37	39.45	138.18
30-Apr-38	39.45	112.53
31-Oct-38	41.22	85.74
30-Apr-39	43.72	57.32
31-Oct-39	44.09	28.66
30-Apr-40	44.09	28.66

12. Environment and Social Due Diligence (ESDD):

- a. Whether the Environment and Social Due Diligence (ESDD) is applicable as per Sustainable Lending Policy and Procedure(SLPP) of the Bank : Yes
b. If yes, the ESDD Report to be attached herewith as a supporting document.: Shall be obtained subsequently

13. Any other: Nil

Industry Analysis

India with a total road network of 6.4 million km comprises of national & state highways and urban & rural roads. National highways account for 2% of the total road network. Year 2020-21. This is one of the highest highway construction achieved in a financial year. The construction pace as noticed in the last few years has seen steady growth.

India has a well-developed framework for Public-Private-Partnerships (PPP) in the highway sector. Asian Development Bank ranked India at the first spot in PPP operations.

The Government of India (GoI) is planning to expand the national highway network to over 200,000 km. The Government launched the Bharatmala Pariyojana, envisaged that the programme will provide 4-lane connectivity to 550 districts, increase the vehicular speed by 20-25% and reduce the supply chain costs by 5-6%. The

Industry Scenario

The GoI has given a massive push to infrastructure by allocating about \$1.4 Tn for infrastructure to be invested until 2025. The government has forecasted an investment of \$1.4 Tn in infrastructure.

The market for roads and highways is projected to exhibit a CAGR of 36.16% during 2016-2025, on account of growing government initiatives to improve transportation infrastructure.

The highways sector in India has been at the forefront of performance and innovation. The government has successfully rolled out over 60 projects worth over \$10 billion through PPP activity in the sector.

Asset recycling, through the toll-operate-transfer (ToT) model has been taken up by the National Highways Authority of India (NHAI) for 100 highways. The first two bundling projects are under implementation.

As one of the biggest reform, the NHAI has gone 'Fully Digital', with the launch of unique cloud based and Artificial Intelligence powered Big Data Analytics platform. The online portal based, wherein the complete project execution operations including 'workflow with time lines' and 'alert mechanism' have been configured. All project information is available on the portal.

Recent Announcements

- 03.09.2021: The Centre has approved development of six-lane Kaliagura-Baunsagar section of NH-130 under the Raipur-Visakhapatnam Economic Corridor, with a total length of 10.5 km.
- 03.09.2021: Union Minister Shri Nitin Gadkari has sanctioned mega nation highway projects across various states. This includes four-laning of the existing two-lane NH-130 between Kaliagura and Baunsagar in Chhattisgarh.
- 22.07.2021: Under the Bharatmala project, 35 Multi-Modal Logistics Parks projects are being developed across the country through PPP.
- 13.07.2021: In a major push to road infrastructure in the North East, Union minister Nitin Gadkari on Monday inaugurated and laid foundation stone for 16 national highway projects worth over Rs 1,000 crore in the region.
- 25.06.2021: Minister for Road Transport & Highways and Micro, Small & Medium Enterprises, Shri Nitin Gadkari today laid Foundation stone and inaugurated various projects worth over Rs 1,000 crore in the region.
- 03.05.2021: Government targets road construction worth INR 15 lakh crore in next two years; Exudes confidence of achieving target of 40 kms per day of highway construction.
- 03.05.2021: India plans to construct 40 kms of highways every day in the current financial year, beating its daily record of 37 kms that was constructed during 2020-21 despite the ongoing pandemic and had constructed 13,505 km of National Highways till 31 March 2021.

Prudential exposure norms and other du			
	Particulars		
1.	Individual borrower exposure ceiling prescribed by RBI & internal rating based ceiling has been complied.		
	Rs. crore	RBI ceiling	Internal guardrail
	Individual exposure	19679.44	1200
	Group Exposure	29519.16	5237
	Industry Exposures	-	
	Unsecured exposure	FB: NFB:	
	Details of Group Exposure:		
	S.No.	Group company	
	1	PNC Infratech Ltd.**	
	2	PNC Aligarh Highways Pvt. Ltd.	
3	PNC Bundelkhand Highway Pvt. Ltd.		
4	MP Highways Pvt. Ltd.		
5	PNC Challakere Highways Pvt. Ltd.		
6	PNC Meerut Haridwar		
7	PNC Bithur Kanpur Highways Pvt. Ltd.		
8	PNC Rajasthan Highways Pvt. Ltd.		
9	Kanpur Lucknow Expressway Pvt. Ltd*		
10	Awadh Expressway Pvt. Ltd.*		
	Total		
	*Proposed group exposure basis proposed underwriting position: 3442.66Cr		
	Break-up of Exposure in PNC Infratech:		
	FBWC: 100		
	NFBWC: 500		
	Equipment/Vehicle Loan: 75.00		
	UCL Factoring Scheme: 30.00		
2.	2.a.Is the exposure part of sensitive sectors :		
	2.b. If yes, please mention category CRE/ Capital Market/ Commodities Exposure:		
3.	3.a.The advance is eligible for classification as priority sector lending		
	3.b. If yes, please mention category		
4.	Eligible for Interest Equalization (If yes, then mention HS code)		
	Whether TL is eligible for any subsidy.		

5. Open Audit observations (Credit /CBO/ RBI/ Stock Audit etc.) and comments: NA as NTB	
6. Date of inspection : yet to be conducted	
Inspected by : NA	
Adverse observations, if any: NA	
7. either the Company or its directors appear in the following list as on recent date?	
	Date of verification/Publication
B / CIBIL Defaulters/ Wilful Defaulter/ Caution/ Caution list exporters/UNSCR/ suit filed Lists	BQS report shall be generated subsequently and noting of group head shall be obtained
MA status (CRILC)	CRILC not working. Noting of Group Head shall be obtained.
GS Status (report to be attached)	BQS report shall be generated subsequently and noting of group head shall be obtained
Probe Report (only for MC accounts)	NA as LC

Financial Difficulty Framework (as per CCP 22-23).	
S. No.	
1	Financial Difficulty Framework
Trigger 1	Term Loan or Working Capital Facility under default for more than 30 days
Trigger 2	NPA with any bank
Trigger 3	Borrowers has been 30+ DPD in any of last 3 month ends
Trigger 4	Internal Rating BB and below
Trigger 5	Breach in 2financial covenant s with deviation > 25%
Trigger 6	If any security of the company has been delisted in the past one year or is in the process of being delisted from an exchange due to noncompliance with the listing requirements
Trigger 7	RFA or fraud with any bank

Trigger 8	Adverse qualification / comments by Statutory Auditor with regards to "going concern" recorded in last annual audited report. Evidence of overdue undisputed statutory dues based on company's Audited Annual Report and from any verified source of information or news in the form of notice of attachments from statutory authorities, arrests made for unpaid statutory dues, etc
2	Appraisal EWS Trigger under RFA Framework

2. Appraisal EWS Trigger under RFA Framework -

Category II
Default in payment to the banks /sundry debtors and other statutory bodies, etc.
Frequent change in the scope of the project to be undertaken by the borrower.
Costing of the project which is in wide variance with standard cost of installation of the project.
Liabilities appearing in ROC search report, not reported by the borrower in its annual report.
Claims not acknowledged as debt high.
Substantial related party transactions.
Large number of transactions with inter-connected companies and large outstanding from such companies.
Material discrepancies in the annual report.
Significant inconsistencies within the annual report (between various sections).
Poor disclosure of materially adverse information and no qualification by the statutory auditors.
Frequent request for general purpose loans.
Frequent ad-hoc sanctions.
Funding of the interest by sanctioning additional facilities.

Compliance Checklist:	
S. No.	Particulars
1.	1.a.i. None of the directors of the Bank is a director, managing agent, manager, employee or guarantor or holds substantial interest in the borrowing comp 1.a.ii. Though there are common directors between the company and the Bank, the facility is exempted from the definition of Loans and advances as per 1.b.i. Any firm/company in which any of the directors of other banks (including directors of Scheduled Co-operative Banks, directors of subsidiaries/trustees 1.b.ii. Any firm/ company in which any of the relatives of the Chairman/Managing Director or other directors of own bank/ other banks (other than spouse 1.b.iii. Any firm/ company in which any of the partners/ directors, is a specified near relation of a director of a banking company. 1.b.iv. Any firm/ company in which any of the relatives of any senior officer of the financing bank holds substantial interest, or is interested as a partner/ dire 1.c. Connected lending declaration/ certificate obtained from the company
2.	The ECB guidelines (wherever applicable) have been dealt with appropriately
3.	Prudential Norms on "Direct Investment by Residents in JV/ WOS" complied with?
4.	The Bank is in compliance with section 19(2) of the Banking Regulation Act at the DP level in cases where shares have been pledged
5.	The regulatory and internal guidelines on takeover norms have been complied with (Compliance of Takeover norms to be discussed in the proposal note).
6.	The regulatory and internal guidelines on restructuring of advances have been complied with (applicable for restructured advance proposals)
7.	The exposure to top 20 groups is within the stipulated ceiling of Rs. 176000 crs as per CRM policy of the Bank in case the borrower is part of such a group.
8.	Whether pricing charged is as per CCP guidelines
	Undertaking and Information compliance
9.	9.a. RBI Annexure-I: Declaration is obtained from the borrower about the credit facilities already enjoyed by them from other banks as prescribed in RI /multiple banking arrangements. 9.b. If not submitted, the related CCP norms have been complied with.
10.	10.a. RBI Annexure-II: Information from member banks as per Annexure-II of RBI circular dated 08.12.2008 10.b. If not submitted, the related CCP norms have been complied with.
11.	RBI Annexure-III: Due diligence report as per Annexure-III of RBI circular dated 08.12.2008
12.	The advance is not being granted to buy back of its own share/ securities of the Borrowers
13.	The ratios discussed in the note are in line with RAM model for latest audited results (FY20), except _____ (give justification for deviations, if any)
14.	The financials filed by the borrower with the ROC are in line with the financials submitted by the borrower to Bank.
15.	Compliance with Section 185/186 on acceptability of Corporate Guarantee
16.	Reconciliation of details of facilities declared by company with ROC records
17.	Reconciliation of details of facilities declared by company with CRILC records

Note: In case of any deviation in the above, details to be covered here.

Terms & Condition

Project – Six lane upgradable to Eight lane Project of Kanpur Lucknow Expressway including spur from Km 10.980 to Km 28.500 in the state of Uttar Pradesh under Bhar

Basic Details of Facility	
Borrower	Kanpur Lucknow Expressway Private Limited (KLEPL)
Sponsor	PNC Infratech Limited (PNCIL)
Promoter	PNC Infra Holdings Limited (PNCIHL)
Security Provider(s)	Borrower, Promoter and Sponsor
Obligors for their respective obligations	The Borrower, Promoter and Sponsor are collectively referred to as 'OI
Authority	National Highway Authority of India (NHAI)
Security Trustee	Axis Trustee Services Limited
Underwriting Bank	Axis Bank
Mandated Lead Arranger (MLA)	Axis Bank Limited, or 'Bank'

Lenders	Axis Bank along with Lenders arranged by MLA	
Signing Date	The date on which the Facility Documents are signed by the parties to the Facility Agreement.	
Consultants/Advisors	The Lenders shall have the right to appoint the following on terms and conditions set out in the Facility Agreement:	
	Particulars	
	Escrow Bank	Axis Bank
	Lenders' Agent	Axis Bank
	Security Trustee	Axis Trustee
	Lenders' Legal Counsel (LLC)	TBD
	Lender's Independent Engineer (LIE)	TBD
	Lender's Insurance Advisor (LIA)	TBD
	All costs, expenses, fees and other monies that are payable in connection with the Facility Agreement shall be paid by the Borrower.	
Facility details including sub-limits	Total limits :	
	Facility Type	
	Rupee Term Loan (RTL) – (A)	
	Bank Guarantee for Mobilisation Advance (BG) as sub-limit of A	
	Total	
	Bank reserves the right to cancel the sanction if Appointed Date is not achieved within the period specified in the Facility Agreement. Lenders at the request of Borrower.	

PART II: TERMS FOR TERM LOAN AND OTHER LOANS

A	Facility	Rupee Term loan (RTL)	
1.	Project	Project – Six lane upgradable to Eight lane Project of Kanpur Lucknow Expressway including spur from Km	
2.	Project Cost & Means of Finance	Project Cost*	
		Particulars	
		EPC cost (including GST)	
		Non-EPC Cost	
		Total	
		*Total Project Cost excludes Inflation component of NHAI Grant which is pass through to the EPC Contra	
		Means of Finance	
		Particulars	
		Grant (including GST)	
		Debt	
Equity			
Total			
Unsecured Loans/quasi equity shall not form more than 50% of the Equity. Promoter is not allowed to witht			
The total Debt: Equity ratio (excluding grant from Authority) envisaged is 4.56:1			
Equity shall mean the sum expressed in Indian Rupees representing the paid-up equity share capital/			
component of the Total Project Cost, with the meaning and in compliance of term "equity" as per Conce			
3.	Purpose	RTL: Towards part-finance of the Project and meet interest from COD till receipt of 1 st annuity. Mobilisation Bank Guarantee (BG): Towards guarantee provided in favour of the Authority in lieu of Mobil	
4.	Upfront Equity	For RTL: 50% of the total Equity Contribution /Sponsor/Promoters contribution as per the Facility Documen the disbursement from the facility For NFB (BG facility) / STL: 25% of the total Equity Contribution /Sponsor/Promoters contribution as per th project pro-rata with the disbursement from the facility	
5.	Authority	National Highways Authority of India (NHAI)	
6.	Concession Agreement	Concession Agreement shall mean the agreement signed between the Authority and the Borrower on 12	
7.	Concession End Date	Estimated to be a date that is 15 years from the PCOD/COD subject to Concession Authority approvals.	
8.	Appointed Date	Appointed Date as declared by Authority as per Concession Agreement. The Borrower to inform the MLA	
9.	Scheduled Commercial Operation Date (SCOD)	Date falling at the expiry of 910 days from the Appointed Date	
10.	Commercial Operation Date (COD)	Actual date of commencement of commercial operation when the completion certificate or the provisio	
11.	Concession Period	Construction period of 910 days from the Appointed Date and operation period of 15 years commencing	
12.	Bid Project Cost ("BPC") and O&M Bid	BPC: Rs 1413.00Cr First Year O&M: Rs.3.00 Crore	
13.	Base Case Plan	The commercial and financial parameters pertaining to construction, development, implementation and for sanction of Facility. (To be attached in the Facility Agreement) Lenders reserve the right to review the Base Case Business Plan with every annual review	
14.	Project Documents	• Concession Agreement • EPC Agreements • O&M and other maintenance related agreements if any • Facility Documents • Insurance policies providing for the insurance as required by the Transaction Documents an • Documents of title (if any) reflecting the Borrower's ownership / title in respect of the site of t • Project Approvals • Substitution Agreement • Escrow Agreement • Facility Documents • Any bonds, guarantees, letters of credit or other security issued or received under or pursuar - Any other document to be executed as per the Concession Agreement or any other document as may	
15.	EPC Agreement	EPC contract to be signed with PNC Infratech Ltd. (EPC Contractor) at a fixed price of Rs.1,508.04 Cr. (inc of BOQs, change in price of materials etc plus escalation linked to Price Index Multiple component to the received by the Borrower as per provision of Concession Agreement. Any additional payment to be m infusion by sponsor.	

		The mobilization advance as received by Borrower from Authority shall be paid to EPC contractor and installments as and when Construction Support is received). Payment to EPC contractor to be paid after r Mob. Advance of 10% as received from Authority by Borrower is to be released in favour of EPC contrac amount from NHA). EPC Contractor through Borrower shall submit cost incurred mobilization of site including cost towards mol The rate of interest on the mob. Advance shall borne by the EPC Contractor on back to back basis i.e. as																																																										
16.	Facility Documents	Facility Agreement, Escrow Agreement, Supplementary Escrow Agreement, Substitution Agreement, Spo																																																										
17.	Rate of interest	a. Axis Bank 1-Year MCLR + 15 bps (Present effective 8.15% p.a.) payable at monthly intervals. This is Ap b. Initial interest rate shall be MCLR of Axis Bank prevailing on the date of 1st disbursement + Sp c. The spread shall be reduced by 0.15% upon receipt of first annuity subject to prevailing mar d. At any point of time, effective interest rate will not be below 1-Year MCLR of the respective e. In case of transfer, the applicable interest rate for new lenders may be linked to the new Lend f. The spread for the new lender to be the difference between the Applicable Interest Rate ar g. The effective interest rate of the new lender will not be below such MCLR/Benchmark Rate of the n																																																										
18.	Interest Payment Date	Interest will be payable with monthly rests and statutory tax/levy, if any, would be additional. The interest s last day is a banking holiday in New Delhi, then such interest shall be paid on prior working day on a pro - 365 days in a year and the actual number of days elapsed.																																																										
19.	Door to door tenor	RTL: Door-to-door tenor of 16 years 15 days starting from the date of Appointed Date, comprising 2.50 ye																																																										
20.	Repayment	Repayment Schedule to be linked to PCOD/SCOD/COD with first repayment starting 6 months and 15 d schedule. Repayment to be made in 27 structured half yearly instalments commencing 6 months and 15 c <table><tr><th>Instalment Number</th><th>Time</th></tr><tr><td>1</td><td>6 months and 15</td></tr><tr><td>2</td><td>12 months and 15</td></tr><tr><td>3</td><td>18 months and 15</td></tr><tr><td>4</td><td>24 months and 15</td></tr><tr><td>5</td><td>30 months and 15</td></tr><tr><td>6</td><td>36 months and 15</td></tr><tr><td>7</td><td>42 months and 15</td></tr><tr><td>8</td><td>48 months and 15</td></tr><tr><td>9</td><td>54 months and 15</td></tr><tr><td>10</td><td>60 months and 15</td></tr><tr><td>11</td><td>66 months and 15</td></tr><tr><td>12</td><td>72 months and 15</td></tr><tr><td>13</td><td>78 months and 15</td></tr><tr><td>14</td><td>84 months and 15</td></tr><tr><td>15</td><td>90 months and 15</td></tr><tr><td>16</td><td>96 months and 15</td></tr><tr><td>17</td><td>102 months and 15</td></tr><tr><td>18</td><td>108 months and 15</td></tr><tr><td>19</td><td>114 months and 15</td></tr><tr><td>20</td><td>120 months and 15</td></tr><tr><td>21</td><td>126 months and 15</td></tr><tr><td>22</td><td>132 months and 15</td></tr><tr><td>23</td><td>138 months and 15</td></tr><tr><td>24</td><td>144 months and 15</td></tr><tr><td>25</td><td>150 months and 15</td></tr><tr><td>26</td><td>156 months and 15</td></tr><tr><td>27</td><td>162 months and 15</td></tr><tr><td colspan="2">Total</td></tr></table>	Instalment Number	Time	1	6 months and 15	2	12 months and 15	3	18 months and 15	4	24 months and 15	5	30 months and 15	6	36 months and 15	7	42 months and 15	8	48 months and 15	9	54 months and 15	10	60 months and 15	11	66 months and 15	12	72 months and 15	13	78 months and 15	14	84 months and 15	15	90 months and 15	16	96 months and 15	17	102 months and 15	18	108 months and 15	19	114 months and 15	20	120 months and 15	21	126 months and 15	22	132 months and 15	23	138 months and 15	24	144 months and 15	25	150 months and 15	26	156 months and 15	27	162 months and 15	Total	
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21.	Security	Primary: a. a first mortgage and charge on all the Borrower's immovable properties, both present and future, s b. a first charge on all the Borrower's tangible moveable assets, including moveable plant and mach c. a first charge over all accounts of the Borrower including the Escrow Account and the Sub-Accou d. a first charge on all intangibles assets including but not limited to goodwill, rights, undertaking and e. Assignment by the way of Security in: provided that the charge on assignment mentioned in paragraph (e) above shall be enforceable:																																																										

		f. a pledge of 51% of the issued, paid up and voting equity share capital of the Borrower held by the Concession Agreement and the prior written Approval of NHAI as provided therein. The shares pledged to the Lenders shall be free from any restrictive covenants/ lien or other encumbrances. The pledge shall be subject to Sec 19(2) of Banking Regulation Act (pledge to be restricted to 30% Facility. At no point, the proportionate share of any one lender shall be more than 30%. Provided that: - the aforesaid mortgages, charges, assignments, guarantees and the pledge of equity shares shall in no event be over the other or others; and - the Security Interest stipulated in sub-paragraphs (a) to (f) hereinabove shall exclude the Project Assets. Any additional collateral security other than those mentioned herein above offered by Borrower to other Lenders. The aforesaid charges shall rank pari-passu amongst the senior Lenders participating in the Project.
22.	Security Creation and Perfection Timeline	Security creation and perfection shall be completed upfront prior to first disbursement including Escrow & The Borrower shall ensure a good and marketable title to its properties to the satisfaction of Lenders and c In case the Security is not created and perfected as per the stipulations, the Borrower shall pay an addition
23.	Prepayment	In case of prepayment, the Lender will be entitled to prepayment penalty of 1% p.a. of the amount prepaid i. If the prepayment is made pursuant to written instructions of Lenders in which case no prior notice v ii. If the prepayment is made out of the internal accruals / proceeds from public listing / permitted me iii. In the event the interest / spread reset is not acceptable to the Borrower, the Borrower shall have days. iv. Prepayment is out of the proceeds of insurance claim or payment under of any Project Documents v. Prepayment of loan from takeout finance/refinance, by way of ECB, as per provisions of applicable vi. Mandatory Prepayment vii. The prepayment is made out of the Borrower's/Sponsor's/ Promoter's fund or proceeds from public Any prepayment as above shall be in proportion to the outstanding balances of each Lender as on the d In case of partial prepayment, the amount prepaid shall be applied in the forward order of maturity there It is hereby clarified that, till such prepayment, interest shall be payable at the Interest Rate of each Lend
24.	Penal Interest	In the event of non-payment of TL Installment/ interest or other monies (except liquidated dam charged for the period of default.
25.	Escrow Account	An Escrow agreement will be entered into between the Borrower, the Lenders and the Authority to ena Escrow agreement shall also provide the routing of funds of the Project as per the priority listed in the Usa The general priority for application of cash flows will be in the accordance with the Concession Agreeeme Post opening of Escrow Account, the redemption proceeds of Authorized Investments to be man

PART III: TERMS COMMON TO ALL FACILITIES CC

TERMS COMMON TO ALL FACILITIES COVERED IN PART II		
1.	Availability Period / Last Date of Drawdown	Disbursement under the Facility shall not be permitted beyond
2.	Validity of Sanction	The sanction shall be valid for acceptance upto 90 days from t
3.	Borrower's undertaking	- The borrower shall fully implement and operationalize the - Any delay or any shortfall in the Grant from NHAI - Any capital support obtained post-implementation purposes with the prior written permission of the L - amount was brought in by Promoter/ Sponsor / pr - Any contribution by promoters/ group company/ direct facilities availed from Lenders, and the Principal or intere - In case of any savings in the Project Cost, the Debt for th - All cash flows related to the Project would be routed thr - The company has filed their up to date balance sheets c - Borrower shall undertake to obtain or coordinate with NH Concession Agreement for smooth implementation, for s - shall undertake to comply with the conditions stipulated - Provide an undertaking that all the permissions/ approv default committed by any of the parties to such permissi - The Borrower shall enter into a fixed time, fixed price EPC Plan, on terms and conditions satisfactory to the Facility / - The Borrower shall undertake to enter into O&M contract as per the Concession Agreement (excluding insurance months prior to envisaged PCOD/COD to the satisfactor - In case the Borrower decides to undertake O&M during expenses for the same shall be borne by the Borrower - The Borrower shall inform the Lender's Agent on its O&M - The Borrower to undertake that, it shall not open or op opened for the said Project. Accounts opened with c disbursement. - Borrower shall undertake that NOC of the Lenders be ta required to dealt with as per provision of Concession Agr - The Borrower shall not sell/dispose any assets or create cl - The Borrower shall not raise any debt except as permitte approval from the Lenders; - If the Project Documents are proposed to be materiall amendment to the Concession Agreement shall be agre - To recover the mobilization advance from EPC contract is to be captured in EPC Contract); - Borrower shall not to make any changes in the EPC/ O&M - As advised by the LIA; the Borrower to undertake that Ins - that none of his accounts, subsidiaries, Sponsor, Promote

		23. The Borrower undertakes to comply with all provisions and of the Project
4.	Sponsor's Undertaking (to be given by PNC Infratech Ltd.)	In addition to the undertakings which are customary to a facility - To bring in the equity required for the project as envisaged - To bring in funds either directly or through Promoter for n of our facility. - The funds brought in by Promoter/Sponsor shall be subordinated against Borrower. The sponsor waives all its rights available - To infuse short term funds either directly or through beyond 2 months from the date of submission of fund shall be refunded to Sponsor / provider of fund - It shall in the event DSRA is not created or not sufficient Sponsor shall bring in additional funds and such fund shall guarantee / letter of credit in lieu of DSRA. - To bring in funds required to ensure timely debt servicing Concession Agreement. - It shall upon receipt of termination payment from the Authority loan if any. - Sponsor shall maintain management control and share the total paid up and voting equity share capital of the without prior written approval of the Lender;. - Sponsor shall maintain management control and shareholding in the total paid up and voting equity currency of the Loans without prior written approval - Funds from the Sponsor to cover any shortfall as per its obligation - Providing/Arranging managerial, technical and consulting - To arrange a fixed time, fixed price EPC contract, payment required to be made, then the same shall
5.	Promoter's Undertakings To be given by PNC Infra holdings Ltd.	- The funds brought in by Promoter shall be subordinated. The promoter waives all its rights available against Borrower - To bring in funds for meeting any shortfall in O&M - To bring in funds for meeting routine O&M expenses over - To bring in fund for meeting major maintenance expenditure - It shall ensure that maintenance obligations as per concession account of default in meeting maintenance obligation to - DSRA requirement for meeting 3 months' debt servicing requirement - Not to abandon the project or allow the company to be liquidated - Right size the debt in case actual Completion Cost (as total quantum of annuity payments to be received by the) - Undertake that in case of reduction in value of any of the be right sized to ensure remaining Debt gets serviced from - To fund any penalty imposed by the Authority as per Concession - Funds from the Promoter to cover any shortfall as per its commitment - In case the debt is right sized, to bring in the differential payment - To meet any shortfall in resources for achieving Completion - To ensure that the Borrower makes necessary arrangements - Promoter shall maintain management control and
6.	Funds from Sponsor/Promoter	Funds from the Sponsor/Promoter, as the case may be, to cover In case any Sponsor/Promoter subordinated debt is to carry any
7.	Due Diligence	Standard and customary applicable to a Facility of this nature - Technical due diligence; - Legal due diligence; - Insurance coverage review; any other relevant aspect as customary to transaction of such
8.	Pre Commitment conditions (i.e. Conditions for effectiveness of Financing Agreements)	The Borrower shall to the satisfaction of the Lenders provide the - Copies of constitutional documents, Memorandum and Articles of Association - Copy of the resolution of the board of directors of the Borrower person(s) to execute, sign and/or dispatch all documents - Certified true copy of the shareholders' resolution under Company Secretary of the Borrower certifying that the Borrower - Provided certified true copy of corporate authorizations in - Furnished evidence of the corporate power, authority of the Borrower & Sponsors; - The borrower undertakes to appoint, (a) LLC for carrying out Lenders (c) Security Trustee (c) Lenders Engineer (LE) (c) concession agreement and Indian law. All costs and expenses - Undertake to execute EPC Contract for implementation - Agree that the Project Cost may be reviewed by the Lenders - Undertake to make suitable arrangements for project management - Authorisation on Information Memorandum - The borrower has modified its Memorandum of Association plan, if required, and incorporate any other related changes - Agree that the Lenders reserve the right to appoint or deemed fit during the currency of the loan, the entire capital - Agree that the Borrower shall obtain adequate insurance from Lenders and agree to assign all insurance policies pertaining - The Borrower undertakes to supply documentation and comply under applicable law.

		o. Borrower to submit Annexure I and Annexure III as per RBI p. CTC of corporate authorisations of Sponsor / Promoter for q. The Borrower to submit a declaration that none of the directors. The Borrower has agreed to provide all information s. Approval of Financing Documents from NHAI; t. Acceptance of the mandate letter u. Complied with any other requirements as are customary
9.	Conditions precedent to the initial disbursement	The availability of the Facility shall be subject to satisfaction of the following conditions: 1. The promoter shall bring in upfront equity i.e. 50% of the cost of the project but before first disbursement. 2. The Borrower shall appoint LLC/ LIA/ LIE/ Trustee/ Lenders 3. The Borrower shall have provided all the information and resolved/addressed any queries/issues raised by the Lenders 4. The Company shall have obtained at least 80% of the work completed achieved 3 H stage (as per National Highways Act) for the project requirement as raised by LIE. LIE/ IE should have certified the Project without which the Completion Certificate or Provisional Certificate 5. The disbursement should be restricted to the extent of the work completed 6. Stage 1 (In-principle) Forest Clearance for entire forest land 7. Post Receipt of Stage 1 (in-principle) Forest Clearance, Project 8. Borrower shall provide copies of all compensatory levies 9. The approvals from respective authorities with regard to the project etc. have been obtained and same has been confirmed 10. The Borrower should enter into a fixed price and fixed time contract for construction shall be passed to the EPC Contractor and the contract 11. LIE to vet the EPC Cost of the project as assumed in Base Case 12. Confirmation from LIE on reasonability of O&M and Major 13. The Borrower shall have submitted Performance security 14. The proportion of mobilization advances payable 15. The borrower shall submit LIE Certificate certifying that the project successfully commence construction and as required for the project such permissions to the Lenders for its record. LIE report to the Lenders 16. Base case assumptions, then the MM reserves will be reviewed 17. The Borrower shall undertake to obtain all statutory and regulatory approvals 18. The Borrower undertakes to make adequate arrangements for the project latest by 3 months prior to envisaged COD or SCOD which 19. Escrow Accounts and its sub accounts to the satisfaction of the Lenders 20. Satisfactory Site inspection by Lenders. The cost of inspection 21. The Borrower shall submit Adequacy report from LIA and Lenders (disbursement). 22. The Borrower shall ensure all the Conditions Precedent (CP) are declared ; 23. The Borrower shall create security prior to first drawdown documents including CHG-1 filing with ROC. 24. The Borrower shall have made such modifications, if necessary, by the appointment of a nominee director, if any, by the Bank 25. The borrower shall have executed all Project and Facility Documents 26. Debt: Equity to be as per defined ratios. The Borrower shall provide the date and means of financing of the project 27. The Borrower shall provide legal opinion regarding compliance with disbursement conditions to the satisfaction of Lenders from the Lenders 28. LIE and LLC shall have reviewed the Project Documents and include comments on EPC Cost reasonableness, completing the project. The Borrower shall have completed the project 29. The borrower shall submit Legal Entity Identifier Code in line with the Entity Identifier Foundation (GLEIF) guidelines. 30. The sanction is subjected to Satisfactory Environmental Clearance from the Borrower. The Borrower to comply with the terms included in the 31. Confidential credit report of the Borrower from its existing 32. The borrower shall make all necessary arrangements to complete the project 33. Undertakings from Sponsor, Promoter and Borrower or an 34. With proposed disbursement, D:E ratio would be within stipulated limits 35. The borrower should have confirmed & provide a certificate documents & the Concession Agreement. 36. The Borrower shall have furnished a certificate from an independent consultant made with reference to the facts and circumstances the 37. The Borrower shall have satisfied the Lenders regarding the Facility Documents and any other contract and agreement 38. Ensure that all requisite insurance policies as advised by Lenders are payable under those policies have been paid. 39. The Borrower shall have constituted a Project Management Committee supervising and monitoring the progress of implementation 40. The Borrower shall have provided a certificate from an independent 41. The Borrower shall have provided a certificate from an independent consultant covenants of the Borrower as set out in the Facility Documents 42. The Borrower shall remove the directors, whose names are

		43. The Borrower shall have provided a certificate from the c specific approval list, RBI's defaulters / caution list, COFEE no director of the Company is disqualified u/s 164 of the 44. The Borrower shall provide Certificate from Chartered Ac 45. The Borrower shall have complied with any other requirer 46. Necessary resolutions and authorizations to enable Lend 47. The borrower shall submit Legal Entity Identifier Code in I Entity Identifier Foundation (GLEIF) guidelines. 48. Latest Annexure I and III (as per RBI guidelines) to be prov 49. Connected Lending Undertakings as per Axis Bank formc 50. First Disbursement to be supported by LIE and CA certifi 51. Appointment of ASM for the Borrower, as and when it is r 52. LIE to provide confirmation that the non-removal of religi
10.	Conditions precedent to further disbursements	The following conditions must be met to the satisfaction of the l i. The subsequent disbursements shall be subject to the Bor a. no event of default/ material adverse effect/ brea b. all approvals from government/local government: full force and effect ii. The Borrower has provided details of the Project Cost to with the original implementation schedule/amended scl the cost incurred thereon, till date are as originally envis iii. The Borrower shall agree and undertake to furnish to the schedule and no cost overrun is envisaged iv. LIE confirmation that the prior disbursements have been i v. The Company to submit copy of Stage II (Final) Fc vi. The Borrower shall have submitted a certificate from C maximum of 4.56x. Lenders shall have received certificat vii. The borrower to confirm that all Project Documents are c viii. The representations and warranties set out in the Facility ix. The subsequent disbursements are to be need based as not exceed 20% upto 2nd Milestone and 15% thereafter x. Subsequent disbursement shall be done based on LIE re from time to time to monitor the progress of the Project xi. The Borrower shall have provided a certificate from an a xii. The Borrower shall have provided a certificate from an c covenants of the Borrower as set out in the Facility Docur xiii. The Borrower shall have provided a LIE Certificate confir xiv. The Borrower shall have provided evidence acceptable force and effect. xv. The Borrower shall agree and undertake to furnish to the schedule and no cost overrun is envisaged; xvi. All material permits, approvals, authorizations and cons received and continue to be effective. xvii. The disbursement should be restricted to the extent of no xviii. If the Borrower has recently submitted a Chartered Ac Accountant certificate for certifying end use of such dist
11.	Disbursement conditions	i. The Borrower shall have provided a certificate from an c covenants of the Borrower as set out in the Facility Docur ii. The disbursement of the facility would be utilised as per s' iii. In cases of reimbursement of capital expenditure alreac company. The certificate should specifically state that promoters contribution in the form of ownership rights or i iv. Lenders Agent may restrict the total disbursemen will be disbursed on availability of additional ROW v. All other documents, opinions, certificates, conse been delivered
12.	Reserves to be Maintained	i. Debt Service Reserve Account (DSRA) Over and above Working Capital Reserve, DSRA (equivalent to DSRA requirement for meeting 3 months' interest servicing rec months' interest shall be created in a phased manner from the DSRA shall be kept in the Authorized Investments as permitte months. In the event DSRA is not created, as envisaged under project cash flow are sufficient to replace the same and surplu The Borrower shall have the option to substitute DSRA amount favour of the Bank) without any charge on Security. Such BG/ date.

		DSRA shall need to be topped up periodically on a continual basis. Working Capital Reserve Working Capital Reserve equivalent to 6 months of interest service between 2 annuity payments date for monthly interest servicing. Post COD, Working Capital Reserve shall mean 6 months of interest waterfall mechanism. Permitted Investments Investment of the available balances lying in the credit facility shall be restricted to the following: • Government of India Securities; • Rupee negotiable certificates of deposit, debt instruments with ratings by any reputed rating agency approved by the Lenders; • Interest bearing deposits with scheduled commercial banks; • Money market mutual funds rated AAA or equivalent; • Any other that may be mutually agreed to between the Borrower and the Lenders; • FD with Scheduled Commercial Banks except with the Lenders. ii. Major Maintenance Reserve Account (MMRA) The Borrower shall maintain requisite amounts in the relevant MMRA Plan and specified in Annexure. MMRA amounts may be reviewed at the satisfaction of Lenders. The borrower has the option of replacing the MMRA balance envisaged in the Base Case Plan, which can be used to cover major maintenance activity on the stretch. Such BG/LC shall be subject to the approval of the Lenders.						
13.	Financial Covenants	The below Financial Covenants shall be tested on an annual basis: <table><tr><th>S. No.</th><th>Ratios</th></tr><tr><td>I.</td><td>DSCR</td></tr><tr><td>II.</td><td>Debt/ Equity</td></tr></table> “DSCR” means Debt Service Coverage Ratio to be computed as (Annual Net Cash Flow after O&M, taxes and annual transfers to MM Reserves, and (Annual Depreciation) divided by the Annual Debt Service. The Borrower/Sponsor shall provide a CA certificate ascertaining compliance with the Financial Covenants. Any Breach of Financial covenants in one testing period would constitute a default.	S. No.	Ratios	I.	DSCR	II.	Debt/ Equity
S. No.	Ratios							
I.	DSCR							
II.	Debt/ Equity							
14.	Other Covenants	1. The Lenders reserves the right to withhold disbursement of the loan in the event of Default under any Agreement/MOU/other documents. 2. The loan would be released in stages depending upon the completion of the project. 3. The borrower shall submit end use certificate for each disbursement. 4. The Lenders shall have the right to conduct a review of the project progress. 5. Lenders shall reserve the right to review, on a mutually agreed basis, the project progress. 6. Borrower shall provide a quarterly drawdown schedule to the Lenders for the loan. The borrower with prior approval of Lenders 15 days before disbursement drawdown to be reviewed against the sanction of such drawdown. 7. The Borrower should provide MIS on the project progress, project, source of financing, source of raw material, and lending conditions. 8. The Borrower agrees that if as a result of the review, the completion date, the Lenders may stipulate conditions that may be required for better project management. 9. Contingency provision to be utilized with permission of the Lenders. 10. The Preliminary and Pre-operative Expenses, Contingency, and O&M to the extent that they are certified by Statutory Auditor. 11. The Lenders shall withhold disbursement of the loan until the project commences. Loan equivalent to working capital requirement of working capital commences. 12. 12. The Lenders shall, at its discretion, obtain a confidential financial statement from the Borrower. 13. LIE reports to be submitted by the LIE upto 6 months after the start of O&M arrangements. This report during Construction shall be submitted more than 3 months before the start of O&M. 14. Post-COD, LIE will do an annual review of the budget and the project progress. 15. The Borrower shall not make any material change in the project without the prior approval of the Lenders. 16. If any substantial changes in the technical, financial, or other details, the Borrower shall inform the Lenders / Lenders Agent of the details. 17. The Borrower shall agree to broad base its Board of Directors for the implementation of the Project subject to the Confirmation of the Lenders. 18. The borrower shall carry out safety/environment/health and other measures as required by the Lenders. 19. The Lenders reserves the right to appoint qualified independent consultants of the borrower or to carry out a full concurrent/supervision of the project. 20. In case any condition is stipulated by any other agreement, the Borrower shall bring its loan at par with the conditions of the first disbursement and subsequent disbursement in accordance with the terms and conditions of the loan agreement.						

		21. Any party infusing funds in the Borrower in the form of 22. The borrower shall not undertake any new project or expansion without the prior approval of the Lenders 23. The Borrower shall promptly notify the Lenders of Security Event (which may be likely to constitute) an Event of Default and steps being taken to avoid the same 24. Lenders will have the right to examine the books of account of the Borrower and the expenses incurred thereon will be borne by the Borrower 25. Lenders shall have the right to appoint Nominee Director of the Borrower 26. the Borrower shall maintain all necessary approvals / clearances for the Project to the satisfaction of the Lenders; 27. the Borrower undertakes to comply with all provisions and conditions of the Project; 28. the Borrower provides regular updates on the Project to the Lenders 29. the Borrower shall not open or maintain any bank accounts outside India 30. permit the Lenders and their authorized officers or employees to visit the Project and to examine any plants, installations and equipment included in the Project and to examine any plants, installations and equipment included in the Project under the Facility Documents. Any such representation shall be subject to the assistance from the employees of the Borrower provided for in the Facility Documents. 31. the Borrower shall maintain adequate books of account and records of the Project without prior intimation to the Lenders; 32. the Borrower shall submit to the Lenders such financial statements as may be required by the Lenders to the Lenders as on date of publication of the company accounts 33. the Borrower agrees and gives consent for the disclosure of the Project to the Lenders and to be disclosed by the Borrower to the Lenders as on date of publication of the company accounts 34. pay to the Lenders, all actual cost incurred on site visits by the Lenders and their authorized officers or employees with the Facility Documents, creation and registration of the Project and submission of certificates/ invoices wherever applicable. In case all actuals cost are incurred by the borrower, the Borrower shall be responsible for the same. 35. submit a final credit rating from external rating agency as may be required by the Lenders 36. agree that in the event of reduction in the Project Cost or any other reason, the Borrower shall be responsible for the same 37. shall not make any material amendments/modifications to the Project without the prior approval of the Lenders 38. Lenders may visit project location site once in 6 months time
15.	Mandatory Prepayment	Upon occurrence of any of the following events, the Borrower shall be obligated to make prepayment of the outstanding principal amount of the Facility as follows: - Sponsor ceases to hold (directly or indirectly) ownership of the Project - The receipt of proceeds resulting from the expiration, termination or cancellation of the Concession Agreement - The receipt of any expropriation proceeds or other takings - Receipt of proceeds of any termination payments, buyouts or other payments - The receipt of proceeds resulting from Liquidated Damages - In the event of receipt of insurance proceeds for the Project - Any receipt of proceeds from sale / transfer of the Project - Cancellation of any licenses/clearances/approvals having effect on the Project - Force Majeure as defined in Concession Agreement, not including - Illegality - Receipt of Proceeds from initial public offer and in connection therewith In case of partial prepayment, the amount mandatorily prepaid by the Borrower shall be used by the Company to make payment within 30 days from happening of the event. All prepayments shall be subject to prevailing regulations (including FEMA) and shall not be subject to any set-off or counterclaim.
16.	Environment Related Covenants	The Borrower shall, at all times during the currency of the Facility, comply with the following covenants: - appoint a consultant to conduct a social and environmental impact assessment of the Project within 30 days of the date of the Facility Agreement - prepare a report of such diligence within 30 days of the date of the Facility Agreement - submit such report to the Lenders and/or the LIE, if applicable The Borrower shall, at all times during the currency of the Facility, ensure compliance with the following: - Ensure compliance with provisions of all applicable laws, regulations, orders, decrees, and directives - Ensure compliance with all conditions stipulated in the Facility Documents - Provide the requisite information and provide access to the Project, if required. - Forward copies of any relevant internal or confidential documents to the Lenders as suggested by the Lenders - To comply with all applicable social, environmental and labor laws, regulations, orders, decrees, and directives - To inform the Lenders within five (5) working days of the occurrence of any event which could reasonably be expected to have an adverse effect on the Project - To furnish to the Lenders in the form and detail satisfactory to the Lenders, labor, safety and other aspects as mentioned above Take corrective measures as suggested by the Lenders, if any, in order to comply with the above covenants.
17.	Drawdown Schedule	Borrower shall provide a quarterly drawdown schedule to the Lenders and the borrower by giving 15 days' notice prior to the end of respective quarter.
18.	Project Monitoring	- The Borrower shall satisfy the Lenders that the physical progress of the Project shall suitably notify the Lenders Agent/ Lenders Agent to monitor the physical progress of the project vis-à-vis project implementation - The Borrower shall facilitate in carrying out inspection by the Lenders at intervals in construction phase and once in twelve months thereafter - Borrower to provide once in three months progress of construction to the Lenders along with every disbursement request. - Borrower to obtain MPR from IE appointed by NHAI as an

		e. First LIE report to be provided within 90 days from f. The lenders would have a right to conduct a review of all g. Borrower shall agree to comply with all reporting requirements h. The Borrower shall satisfy the Lenders that it has appointed an independent third party to ensure that the organizational set-up is adequate enough to ensure smooth operation a. The Borrower agrees that if as a result of the review, the completion date, or is otherwise likely to not meet the requirements of the Concession Agreement, the Borrower shall, within 90 days of the completion date, change in means and terms of financing j. The Borrower shall agree to broaden its Board of Directors to include representatives of the Lenders. The O&M arrangements shall be reviewed by LIE 3 months before the said appointed period.
19.	Affirmative Covenants	Customary for such financings including but not limited to: 1. Comply with obligations under the Project Agreement 2. Maintain adequate insurance in relation to the Facility 3. Create and maintain Security; 4. Borrower shall permit the Lenders and their representatives to visit any facilities and construct documents relevant to performance of the Facility upon issue of suitable prior written notice of such business and operations of the Borrower. Agree that during the currency of the Facility accorded by the Lenders
20.	Cash flow waterfall mechanism	The entire cash flows of the Company including operating income and non-operating income shall be subject to the requirements of the Concession Agreement and shall be applied in the following order: 1. To meet any statutory dues & taxes; 2. For meeting construction related expenses (during construction period) 3. For meeting the operation and maintenance expenses of the Facility 4. O&M Expenses and other costs and expenses incurred by the Borrower 5. Any amounts due and payable to the Authority; 6. To meet interest service in relation to Facility 7. Next scheduled principal repayment in relation to Facility 8. Damages payable to the Authority as per the Concession Agreement 9. Funding Working Capital Reserve Account 10. Funding the DSRA to the required DSRA Amount; 11. Funding the MMRA to the required MMR Amount as per the Concession Agreement 12. O&M payments over and above the Base Case Plan 13. Cash Sweep, if applicable To distribute any residual amounts, subject to Restricted Payment provisions, to the Borrower.
21.	Cash Sweep	Upon receipt of each annuity, 50% surplus left after making payments to the Authority shall be used for prepayment of debt without any prepayment charge. Subject to provision of EPC Contract, Lenders have the right to require the Borrower to maintain a DSRA and MMR has been duly created. Any such prepayment shall be applied in inverse order of maturity of the debt. In the event Borrower/Sponsor/Promoter proposes change in the terms of the Facility, the Lenders shall have the right to require the Borrower to maintain a DSRA and MMR.
16.	Upfront/ Non-refundable Processing Fee	One-time non-refundable upfront fee of (as mutually agreed%)
17.	Commitment Fee	0.25% p.a. (plus applicable taxes) shall be applicable on the total amount of the Facility committed but not disbursed. Such disbursement schedule may be amended or replaced by the Lenders at any time with reference to the drawdown schedule specified in such amended or replaced schedule.
18.	Interest Reset / Spread Reset	Spread shall remain fixed for each Lender till the date of receipt of the first annuity. 1. First Interest Reset shall be on first Annuity Receipt Date or 2. Subsequent reset- thereafter after every one year. Notwithstanding the above, the Lenders reserve the right to revise the interest rate in the following circumstances: 1. RBI revises the standard provisioning requirements/risk weights 2. downward revision in the credit rating of borrower/security 3. occurrence of an Event of Default or potential event of default 4. Lenders' internal reviews and/or changes in externally provided ratings 5. RBI changing the methodology for computation of Interest rate 6. If determined by the Lenders due to observation of deterioration in the creditworthiness of the Borrower 7. Non-submission of financial and non-financial monitoring reports
19.	Penal Interest	1. The Borrower shall have to create and perfect security interest in the Facility and pay an additional interest of 1% p.a. from the date of first disbursement. 2. In case of breach of any financial covenant on any test date, the Borrower shall pay an additional interest of 1% p.a. from the date of such breach. 3. Delay/failure to obtain external credit rating as stipulated in the Facility Documents. 4. Non-compliance of any other terms as per the Facility Documents.
20.	Interest Calculation	The interest per annum shall accrue and be calculated for 365 days
21.	Assignments and Transfers by Lender	Lenders may, at any time at its sole and absolute discretion (irrevocably and unconditionally confirms that it shall continue

		shall acquire an interest in the Facility Documents upon the tra The Borrower shall cooperate with the Lender(s) and assist in c for this purpose, including but not limited to execution or ame lenders or investors to facilitate or otherwise give effect to such The Borrower shall not assign or transfer all or any of its rights, be Without prejudice to the aforesaid provision, Lenders may (at other bank/NBFC/FI by way of participation.
22.	Material Adverse Change	This would include: 1. Any material adverse change havin prospects of the borrower, in sole disci 2. the ability of the Obligor to perform its 3. Any pending or threatened litigation, performance, properties or prospects Any roll-back of regulatory approval, material to commissioning The Borrower shall not without prior written consent of the Lend The Borrower shall not: 1. Make any investment (other than a permitted investmen 2. Provide any loans to the Sponsors; 3. Pay Management Fees; 4. repay any principal or interest on any loans availed from date of the execution of this Agreement; (the foregoing being called Restricted Payments) subject to th the Facility Documents, • DSCR of minimum 1.10x • No Event of Default or exists under the Financing Docum • No outstanding event of Force Majeure or material dispu • All the reserve requirements including DSRA, working ca account; • Such Restricted Payment is permitted by applicable law • There is no outstanding amount as due and payable. • Repayment has commenced under the facilities • Obligation under Cash Sweep has been paid The Restricted Payments will be allowed only twice in a financ The Borrower to submit CA certificate providing calculation i payments.
23.	Restricted Payments	
24.	Illegality	In the event that it becomes illegal for the Lenders to lend or Lender(s) commitment will be cancelled.
25.	Inspection	Lenders to have the right to inspect the premises, account boo
26.	Other General Conditions	1. The borrower shall utilise the facility for the purposes for corporate deposits. 2. Borrower shall: i. maintain proper books of accounts to accurately reflect ii. keep the Bank informed of the happening of any event \ 3. Borrower and Promoter shall not, without the prior written i. enter into any merger/amalgamation etc or do a buyba ii. wind up/liquidate its affair or agree/authorize to settle ar iii. change the general nature of its business or undertake a iv. permit any change in its ownership/control/manageme v. business/ operations are managed or controlled, directly vi. make any amendments to it's constitutional documents, vii. avail any loan; and/or stand as surety or guarantor for ar viii. encumber it's assets save and except as permitted abov ix. any commission, brokerage or fees to its promoters/direc x. dispose its assets other than as permitted by the Bank in v 4. <u>Set-Off</u>: The Lenders shall have the right to settle any ir transferring monies lying to the balance of any account by the Borrower's bankruptcy, death or winding-up. 5. <u>Hedging</u>: The Borrower shall, during the currency of our fc 6. <u>Insurance</u>: All the assets secured to the Lenders shall be ii 7. <u>Financial Information</u>: The Borrower shall provide the Lenc 8. <u>Limits cancellation clause</u>: The Lenders shall have an - Facility, without any prior notice to the Borrower, for any i - the Borrower shall repay the Facility in accordance with l 9. <u>Security</u>: If any Security is to be created over immove acquisition of each such immoveable property, inform th 10. The Borrower shall get the facility rated by Credit Rating / 11. <u>Documentation</u>: As suggested by LLC 12. <u>Regulatory Conditions</u>: a. Under no circumstances shall the Facility be utilised for St b. <u>Legal Entity Identifier Code</u>: This sanction is subject to sub - LEI code to be renewed periodically as per Global Legal c. The lender does not have an obligation to meet further r d. The Borrower shall submit information as required vide RB e. <u>UFCE</u>: The Borrower shall provide the Unhedged Foreign C

		f. <u>Beneficial Ownership Declaration</u>: The borrower shall provide. g. <u>Willful Defaulter</u>: The Borrower shall not induct a person in the Bank shall take expeditious and effective steps for removal of : h. <u>Disclosure</u>: The Bank shall be entitled to disclose all information in the other agency so authorised may use, process the said information and the Borrower shall not hold the Bank liable in any manner. a. <u>Connected Lending Undertaking</u>: The borrower shall undertake i. None of the directors of Axis Bank or relatives of directors, managing agent, employee or guarantor of the borrower or its subsidiary or its holding company. ii. to the best of the borrower's knowledge none of the directors or relatives as defined in the RBI Master Circular - Loans and Advances - Statutory and Other Restrictions is a director, manager, managing agent, employee or guarantor of the borrower or its subsidiary or its holding company. iii. to the best of the borrower's knowledge none of senior directors, managing agent, employee or guarantor of the borrower or its subsidiary or its holding company is a director, manager, managing agent, employee or guarantor of the borrower or its subsidiary or its holding company. In case if any of the above stated declarations is breached, the Borrower shall be liable to Connected Lending, at any time during the currency of loan. Any payment to Lenders shall be subject to applicable terms of the Facility Documents. In addition to the representations and warranties which are customary to a facility of this nature including, but not limited to: i. It has the power and authority to execute the Financing Documents. ii. It is in compliance with all applicable laws and has obtained all necessary approvals. iii. The execution and performance of the Facility Documents will not violate any law, regulation, contract or agreement. The assets over which Security is to be created are free of encumbrances. iv. No event of default has occurred or will occur upon execution of the Facility Documents. v. All information provided to the Lenders is true and correct. vi. The financial statement delivered to the Lenders are its true and correct. vii. No litigation / arbitration proceedings exists which will have a material adverse effect on the Borrower. viii. It does not have any right of immunity from legal proceedings. ix. No action has been taken (voluntary or involuntary) for its insolvency or liquidation. x. It has good and marketable title to its assets over which Security is to be created. xi. No material adverse effect exists. xii. It is not a wilful defaulter with any bank/financial institution. xiii. All its arrangements with third parties are on arm length basis. xiv. No director of the Bank is a director, manager, managing agent, employee or guarantor of the Borrower or a subsidiary or its holding company who holds substantial interest, in the Borrower or a subsidiary or its holding company who holds substantial interest or is interested as director or as a shareholder. "Material Adverse Effect" shall mean the effect or consequence of any event or circumstance on the Borrower's financial condition, business or operation; a. its financial condition, business or operation; b. its ability to perform its obligations or exercise its rights under the Facility Documents; c. the validity or enforceability of any of the Facility Documents.
27.	Representations/ Warranties	
28.	Events of Default	Customary to a facility of this nature including, but not limited to: 1. Failure by the Borrower in the payment, when due, of any principal, interest, fee or charge payable to the Lenders; 2. Failure to obtain necessary approvals having MAE; 3. Breach of any obligations under the Project Documents including the Concession Agreement; 4. Breach of Financial Covenants which has not been cured within the time specified in the Facility Documents; 5. The Borrower committing any breach or default (other than as mentioned in the Concession Agreement); 6. Failure by the sponsors/shareholders to make any contribution to the Project; 7. Current rating falling below investment grade. Terminative; 8. Execution or distress being enforced or levied against the Borrower; 9. The Borrower ceases or threatens to cease to carry on its business; 10. A receiver being appointed in respect of the whole or any part of the assets of the Borrower; 11. The occurrence of any event or circumstances which is prejudicial to the interests of the Lenders; 12. Borrower has taken any action for its re-organization in the form of merger, amalgamation, demerger, reconstruction or otherwise; 13. Borrower defaults in payment, repayment, prepayment, or otherwise defaults under the provisions of such agreement; 14. Cross Default i.e., If any indebtedness of the Borrower, its subsidiaries or its holding company under any credit agreements and such default is continued for a period of 30 days after the date of default; 15. Borrower withdrawing or giving up the Project or withdrawing from the Project (including under the Concession Agreement) or if the Project is terminated; 16. Sponsor fails to perform its obligations under the Facility Documents and all dues shall become payable immediately to the Lenders have under the Facility Documents; 17. Illegality or unlawfulness of any Transaction Document or any part thereof; 18. Involuntary winding up, dissolution, Misrepresentation or fraud; 19. Winding up, bankruptcy and dissolution of material project or business; 20. Any of the Facility Documents becoming ineffective, unenforceable or invalid; 21. Repudiation, termination, unenforceability or invalidity of any of the Facility Documents; 22. Failure to comply with any other obligation, representation or warranty; 23. Breach/ non-creation of any Security document, within the time specified in the Facility Documents; 24. Breach of the terms of the transaction / Project documents.

		25. Failure to take reasonable steps to comply with observat 26. Failure to obtain / maintain any insurance as required by 27. Breach of any material representation or warranty under 28. The Sponsor or Borrower or any of their directors are inclu 29. Breach of shareholding undertaking by controlling sharel 30. Material Adverse Change 31. Any information provided by Borrower/Sponsor is incorrec The above are indicative and shall be defined in detail in the F 32. The Borrower shall promptly notify the lenders/ Security Tr
29.	Consequences of Events of Default	If an Event of Default has occurred, the Lenders may, by giving 1. Accelerate the maturities of the Facility; 2. Declare the outstanding amount of the Facility as due ar 3. Enforce the Security in case of payment default; 4. Declare the commitments to be cancelled or suspendec 5. Appoint Nominee Director on the Board of Directors of th 6. Restrict the Borrower from declaring or paying any divide 7. In case of a payment default, appoint concurrent auditc 8. Exercise the rights available to the Lenders under the Fac 9. Issue notice regarding payment of proceeds of any insur 10. Lenders and/or the Reserve Bank of India (RBI)/ Credit Int such manner and through such medium as Lenders and 11. Instruct the escrow bank to ensure that no withdrawals/tr 12. Instruct the Security Trustee to take any other enforceme 13. Stipulate any further terms and conditions as the Lenders 14. Charge penal interest as mentioned 15. Exercise its right to convert the debt into equity, at its disc i. Exercise any other rights as may be available to the Lenc
30.	Governing Law	i. <u>Governing Law</u>: The Facility Documents shall be g ii. <u>Jurisdiction</u>: The Borrower agrees that the Courts jurisdiction.

Facility	Bank Guarantee
Limit	Rs. 155.43 crores
Sub-limits	Sub-limits of RTL
Purpose	For receiving Mob Adv. from NHAI for the Project
Cash Margin	Nil
Commission	Commission of (as mutually agreed)% p.a. plus applicable taxes payable on quarterly basis
Tenor	Maximum up to 3.0 years from Appointed Date.
Availability	6 months from Appointed Date
Security	All securities/undertakings applicable for RTL
Other covenants	• Guarantees to be executed in a format acceptable to the Bank in line with Authc should contain our usual limitation clause including as provided in the NHAI MABG f • In the event of invocation of Bank Guarantee and Term Loan draw down from term 1 year Axis MCLR + 3% till TL disbursement/regularization by Sponsor. • All applicable terms of RTL facility will be applicable for BG facility, except those specifi

Facility	Short Term Loan (Sub Limit of RTL)
Limit	Rs. 155.43 crores (as sublimit of RTL)
Purpose	In place of mobilization advance to the EPC contractor
Rate of interest	To be decided mutually
Repayment Schedule	The company to mandatorily prepay proportionate amount (i.e Facility / No. of milestone Payment,) upon receipt of milestone p 10 milestone payment is expected to be received and accordingly Facility to be repaid proportionately 7 days post receipt of n
Tenor of facility	Maximum tenor of 30 months.
Security & timeline	As applicable for Term Loan
Disbursement	•Mobilisation advance of 10% of EPC will be released in 2 tranches of 5% each. 2nd tranche of 5% will be released after LIE •The Disbursement to comply with D:E ratio.
Availability Period	Disbursement under the Facility shall not be permitted beyond 6 months from Appointed date.
Prepayment	In case of prepayment, the Lender will be entitled to prepayment penalty of 1% of the amount prepaid, except in cases mentio If the prepayment is made pursuant to written instructions of Axis Bank in which case no prior notice will be required from the Bor
Penal Interest	In the event of non-payment of short term loan / interest, penal interest at 2% p.a. on the overdue amount will be charged.
Other conditions	• To recover the mobilization advance given to EPC contractor on back-to-back basis i.e. upon repayment of Short term Lc • PDCs applicable for RTL is to be applicable for STL facility as well unless specifically specified

Rating Rationale

Name of Borrower: Kanpur Lucknow Expressway Pvt Ltd

Group: PNC Group

Industry: Infra Roads**Proposal:** Sanction of RTL of Rs. 780 Cr**Guardrail Compliance:**

Exposure/Portfolio Guardrail	Single Borrower Limit	Group Limit*	Industry-wise Ceiling
Compliance in line with RAS as approved by RMC	Yes	Guardrail: 5894 Cr and GAP available Rs. 2036 Crs as on Jul 20, 2022	Guardrail: 59312 Cr and GAP available: 10352 Cr as on Jul 20, 2022

*- Pipeline sanctions in the PNC group include Kanpur Lucknow expressway (Rs. 780 Cr) and Awadh Expressway (Rs. 778 Cr) amounting to total 1558 Cr

Rating History:**1. Rating Action Proposed:**

Rating based on Projections
Review trigger initiated by Risk - No

	Existing Rating (FY21)	Proposed Rating (FY22)
Final Company rating	NA as NTB	AB-PR-A-
Overall Rating		AB-PR-A-
Financial		AB-PR-BBB-
Management		AB-PR-A+
Business		AB-PR-BBB+
Project		AB-PR-A-
Industry		AB-PR-BBB+
External Rating	Unrated	Unrated

2. Comments on Overall Rating

- PNC has been awarded the contract for construction of Six Lane Upgradable To Eight Lane of expressway NE-2 from Lucknow to Unnao (20km outside of Kanpur), which has been divided in two packages under HAM model. Kanpur Lucknow Expressway has been established to execute package 1 from Lucknow to Hinora and Awadh Expressway has been established to execute package 2 from Hinora to Unnao. Total project cost is for Kanpur Lucknow expressway is Rs. 1618 Cr, funded by Rs. 780 Cr debt, Rs. 666 Cr grant from NHAI and Rs. 171 Cr equity.
- PNC infra has equity requirements of Rs. 1476 Cr over the next 2-3 years. The company has ~Rs. 500 Cr of cash on hand, out of which ~Rs. 100 Cr is in FDs. On a conservative basis, PNC will generate cash accruals of Rs. 350 Cr per annum post repayment of debt, which will be utilized for equity infusion. This provides adequate visibility for equity infusion
- All standard terms & conditions of the Bank have been complied with-
 - Sponsors undertakings from PNC Infratech Ltd. for shortfall including w.r.t. cost overrun, Termination Shortfall, Cash flow mismatches due to delay in receipt of payments from Authority, O&M Expenses, MMR Expenses and Statutory Payments, for funding cost overruns and for maintaining DSRA of 6 months
 - Undertaking from PNC Infratech Ltd. for holding minimum 51% stake in SPV (directly or indirectly).
 - Average and minimum DSCR during the tenor of the loan are 1.23 and 1.20 respectively.
 - O&M and MMR are in line with our internal standard benchmarks.
 - Equity commitment for Sponsor would be 50% upfront and rest in phased manner.

3. In case of divergence with external rating (> 1 notch including modifier), justification for the same – NA